Supreme Court, U.S.
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No. 97-1732

IN THE
Supreme Court of the United States
OCTOBER TERM, 1998

CALIFORNIA PUBLIC EMPLOYEES' RETIREMENT SYSTEM, *et al.*,
Petitioners,

v.

PAUL FELZEN, *et al.*,
Respondents.

On Writ of Certiorari to the United States Court of Appeals for the Seventh Circuit

---

BRIEF FOR RESPONDENT ARCHER DANIELS MIDLAND COMPANY

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QUESTION PRESENTED

Whether a nonparty shareholder who appears, in response to notice provided under Federal Rule of Civil Procedure 23.1, to present objections to a proposed dismissal or settlement of a derivative action may appeal an adverse decision even though the shareholder has not been formally made a party to the action.*

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* This is the question presented in the petition, Pet. Cert. i, on which this Court granted certiorari, J.A. 351. It is not the question as stated in the Brief for Petitioners, at i.

LIST OF PARTIES IN THE COURT OF APPEALS

California Public Employees' Retirement System and Florida State Board of Administration were not parties in the District Court. They filed a notice of appeal describing themselves as "Objectors . . . each of whom is entitled to appeal." J.A. 349. They did not move to intervene in the Court of Appeals, and were not granted intervention by that Court, which dismissed their appeal.

Parties to the judgment of the District Court from which the objectors sought to appeal were Paul Felzen; Sandra Esner; Archer Daniels Midland Company; the following directors of Archer Daniels Midland Company: Dwayne O. Andreas, Gaylord O. Coan, F. Ross Johnson, M. Brian Mulroney, Robert S. Strauss, John K. Vanier, and O. Glenn Webb; and the following former directors of Archer Daniels Midland Company: Lowell W. Andreas, Martin Andreas, Michael D. Andreas, Shreve M. Archer, Jr., Ralph Bruce, Howard G. Buffett, John H. Daniels, Ray A. Goldberg, H. D. Hale, James R. Randall, and Margaretta Rockefeller.

LIST PURSUANT TO RULE 29.6

Respondent Archer Daniels Midland Company is a publicly held corporation. It has no parent companies. Its non-wholly-owned subsidiaries are Alfred C. Toepfer International, Compagnie Industrielle et Financière, Consolidated Nutrition, L.C., Gruma, S.A. de C.V., and Oelmuhle Hamburg AG.

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JURISDICTION

Title 28 U.S.C. § 1254(1), which is invoked for this Court's jurisdiction, Pet. Cert. 1, authorizes review of cases in the courts of appeals by certiorari "granted upon the petition of any party to any civil or criminal case." CalPERS and FSBA describe themselves as "parties to the proceedings in the court of appeals." Pet. Br. ii.

This Court has said that "[o]ne who has been denied the right to intervene in a case in a court of appeals may petition for certiorari to review that ruling." *Izumi Seimitsu Kogyo Kabushiki Kaisha* v. *U.S. Philips Corp.*, 510 U.S. 27, 30 (1993); *cf. Hohn* v. *United States*, 118 S. Ct. 1969, 1975-76 (1998). CalPERS and FSBA, however, specifically claimed a right to appeal as non-parties, J.A. 349, did not seek to intervene in the Court of Appeals, and were not appealing a denial of intervention by the district court. Hence, unlike cases in which a petitioner has sought and been denied intervention, in this unusual case jurisdiction under § 1254(1) appears to be lacking.[1]

STATUTES AND RULES INVOLVED

Rules 23, 23.1 and 24 and former Rule 73 of the Federal Rules of Civil Procedure, Rules 3 and 4 of the Federal Rules of Appellate Procedure, 28 U.S.C. § 1254, former 28 U.S.C. § 1254, and former Federal Equity Rules 27, 37, 38, and 39 (1912) and 94 (1882) are reproduced at pages 1a-19a, *infra*.

STATEMENT

A. Proceedings in the District Court.

1. *The Complaints.*—These are two derivative actions filed in 1995 by shareholders of Archer Daniels Midland

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[1] *Cf. INS* v. *Chadha*, 462 U.S. 919, 930 n.5 (1983) (noting that petitioners had been granted post-judgment intervention by court of appeals and "are therefore proper 'parties' within the meaning of that term in 28 U. S. C. § 1254(1)"); *Karcher* v. *May*, 484 U.S. 72, 81 (1987) (dismissing under parallel provision of former 28 U.S.C. § 1254(2)).

Company (ADM), consolidated and transferred to the United States District Court for the Central District of Illinois. The defendants were directors of ADM allegedly responsible for losses from antitrust violations, and ADM itself. J.A. 34, 43. Fourteen other shareholder derivative actions were filed in Delaware, the state of ADM's incorporation.[2] An initial consolidated complaint was dismissed with leave to amend, J.A. 14, 201, after which an amended complaint with supplements was filed. J.A. 56, 95, 98. It sought money damages against the directors on behalf of the company, and unspecified equitable relief. J.A. 91-92. Another motion to dismiss was filed and briefed. J.A. 93.

2. *The Proposed Settlement.*—In May 1997 after six months of negotiations counsel for the plaintiff shareholders in Illinois and Delaware, counsel for the defendant directors, and counsel for ADM reached a proposed settlement of all sixteen cases. J.A. 108, 111, 207-08, 211, 328. It called for payment by the directors to ADM of $8,000,000, J.A. 207, 213, 216-17, of which at least $4,080,000 would be made available for funding a compliance program in which independent outside counsel would assist a new ADM Audit Committee, and up to $3,920,000 would pay attorneys' fees and litigation expenses of the shareholders both in Illinois and Delaware. J.A. 118, 120, 196. ADM also agreed to restructuring of its board of directors, and permanently to adopt extensive procedures to increase director independence and safeguard against illegal conduct. J.A. 112, 128-33, 186-88, 190, 212-13, 261-62. The proposal further specified that it did not settle the corporation's claims against former board member Michael Andreas and five other ADM

[2] The Illinois cases were *Felzen* v. *Andreas, et al.*, No. 95 C 4006 (N.D. Ill.); *Esner* v. *Andreas, et al.*, No. 95 CH 6623 (Cir. Ct., Cook Co., Ill.), removed, both transferred pursuant to 28 U.S.C. § 1404(a). The Delaware cases were consolidated as *In re Archer Daniels Midland Co. Derivative Litig.*, No. 14403 (Chan. Ct., New Castle Co., Del.), see J.A. 108-09, 160, and are stayed pending this Court's decision.

employees, a group that included the only individuals charged with and subsequently convicted of antitrust violations. J.A. 115, 120-23, 138, 213, 215.[3] The Illinois plaintiffs agreed that upon final approval of the settlement all their cases would be dismissed with prejudice, J.A. 123, and the Delaware plaintiffs agreed that upon the judgment in Illinois becoming final and unappealable, the Delaware cases would be dismissed as well, J.A. 115-16, 123, 142. A reconstituted ADM board with new membership approved the settlement. J.A. 111; see J.A. 207, 210, 280.

Pursuant to Rule 23.1, Fed. R. Civ. P., the District Court entered an order preliminarily approving the settlement, ordering that notice be sent to all ADM shareholders, and scheduling a fairness hearing to be held five weeks later at which any shareholders who submitted objections would be heard. J.A. 121-22, 134, 139-40, 143-45, 146. More than 243,000 notices were mailed to ADM's shareholders. J.A. 158, 197, 213, 344. Each notice stated that it was "merely to advise you of the pendency and proposed Settlement of the Derivative Claims and of your rights thereunder." J.A. 135. It explained that any shareholder "may appear at the Settlement Hearing to show cause why the proposed Settlement should not be approved." J.A. 140.

3. *Objections.*—Approximately a month after the notice, objections were submitted to the District Court by two large institutional shareholders: the California Public Employees' Retirement System (CalPERS) and the Florida State Board of Administration (FSBA), petitioners here. J.A. 296. CalPERS and FSBA are large state-employee pension funds. CalPERS is the largest governmental pension fund in the United States, with assets

[3] The plaintiffs' attorneys declared that "[t]here has been no evidence that any director of ADM, other than Michael Andreas, was aware of any price-fixing activities, or that the ADM Board systematically failed to exercise its oversight responsibilities." J.A. 205.

exceeding $110 billion; FSBA's assets exceed $83 billion. J.A. 297. Together they own more than 4.5 million shares of ADM's common stock. J.A. 297-98, 335.[4] CalPERS and FSBA had proposed revisions of the organization and procedures by which ADM's board of directors operated, and of its definition of independence. In 1996 these had been defeated by majority vote of ADM's shareholders. J.A. 308, 318-19. For several months prior to the settlement proposal, counsel for the Illinois plaintiffs had discussed the litigation and possible settlement terms with CalPERS, with other institutional shareholders, and with the staff of the Council of Institutional Investors (CII), an association of large pension funds of which CalPERS and FSBA are two of the largest members. J.A. 208-09, 298, 312-13, 316, 318, 328-31.

Affidavits of academic and financial experts concluded that "the Settlement confers significant corporate governance benefits," J.A. 191, and that the settlement "will move ADM to the very forefront of American corporations in terms of corporate governance," J.A. 281. As Professor John C. Coffee, Jr. of Columbia University, who had consulted in the settlement, explained: "In general, I believe the Corporate Governance Provisions [of the settlement] represent more or less the 'state of the art' in American corporate governance today," with "virtually every reform about whose desirability there today exists a significant consensus." J.A. 226.

CalPERS and FSBA informed the District Court that they disagreed with the settlement because, although making permanent the director-independence requirements and other governance changes that ADM had adopted, as well as additional ones, it still did not provide all that CalPERS and FSBA desired. They argued that the settlement instead should have adopted the definition of director independence and all the governance changes they had sought in their proposal that the shareholders of ADM the preceding year had defeated. J.A. 308, 316, 320. An affidavit of a CII staff member said that "ADM has been a poster child for the corporate governance movement for years" and that "[t]his opportunity should not be squandered." J.A. 314. CalPERS and FSBA dismissed the analyses supporting the settlement as the work of "hired experts." J.A. 310. They also objected to the amount of attorneys' fees. J.A. 302.

[4] ADM has over 530 million shares of common stock outstanding, J.A. 337, of which the holdings of CalPERS and FSBA together represent less than 1%. See J.A. 343. ADM has 367 shareholders classified as institutional investors. J.A. 343.

At no time did CalPERS and FSBA move pursuant to Fed. R. Civ. P. 24 to intervene. Counsel for the shareholder plaintiffs pointed out at the hearing that CalPERS on other occasions had moved to make itself a party in derivative actions, and "They know how to do it when they want to, judge." J.A. 338.[5]

4. *The Fairness Hearing.*—CalPERS and FSBA never contended that the plaintiff shareholders were not adequate representatives. CalPERS and FSBA did tell the District Court that in general "derivative actions ha[ve] a unique potential for collusion" and "[w]e think that is what has happened here." J.A. 339-40; see also J.A. 300, 305. When challenged by the District Court to support the epithet "collusion," CalPERS and FSBA responded that "[w]rongdoing [is] . . . in the eyes of the beholder," J.A. 341, and "I make no assertion of any impropriety, Your Honor," J.A. 338.

After hearing arguments from the parties, from CalPERS and FSBA, and from another objector appearing *pro se*,[6] the District Court concluded:

[5] He cited *Weiser* v. *Grace*, No. 106285/95, Sup. Ct., N.Y. County, N.Y. (CalPERS motion to intervene to become representative plaintiff); *cf. Kahn* v. *Sullivan*, 594 A.2d 48, 50 (Del. 1991) (intervention by CalPERS).

[6] Five objections in addition to CalPERS' and FSBA's were received from ADM's 243,000 shareholders. See J.A. 150-56, 197, 263.

—That "I find no basis for claims of collusion. Just none." J.A. 347; see also J.A. 346.

—That "[t]he case the plaintiffs had was not, as one of my colleagues described, 'another case as a dead bang winner.' Far from it." J.A. 345. "This case would have gone on for years. . . . [M]y guess would be five years of further litigation." J.A. 346.

—That "the overwhelming reaction to the proposed settlement [by shareholders] has been acceptance." J.A. 347.

—That "the settlement, which is before the court is fair, reasonable, and adequate." J.A. 345.

On July 7, 1997, final judgment was entered approving the settlement and dismissing the Illinois cases with prejudice, P.C.A. 11a, and an order was entered allowing $3,920,000 for the attorneys' fees and expenses of all the law firms that had represented the plaintiffs in the Illinois and Delaware actions. J.A. 219, P.C.A. 16a.

5. *The Notice of Appeal.*—CalPERS and FSBA still did not move to intervene. Instead, on July 14, 1997 they filed a notice of appeal to the United States Court of Appeals for the Seventh Circuit. In it they described themselves as

> "Objectors . . . each of whom is entitled to appeal from the Final Judgment and Order of Dismissal (July 7, 1997), and Order Awarding Attorneys' Fees and Reimbursement of Expenses (July 7, 1997). . . ." J.A. 349.

B. Proceedings in the Court of Appeals.

The shareholder plaintiffs moved to dismiss the appeal on the ground that CalPERS and FSBA could not appeal because they had neither been, nor sought to become, parties in the District Court. J.A. 350. The Court of Appeals (Posner, C.J., and Flaum and Easterbrook, JJ.) agreed, and dismissed the non-party appeal.

In an opinion by Judge Easterbrook, the court quoted this Court's opinion in *Marino* v. *Ortiz*, 484 U.S. 301 (1988), that "The rule that only parties to a lawsuit, or those that properly become parties, may appeal an adverse judgment, is well settled." 484 U.S. at 304, quoted at P.C.A. 1. The Court of Appeals also cited Rule 3(c), Fed. R. App. P., which provides that "A notice of appeal must specify the *party or parties* taking the appeal . . . ." P.C.A. 2a (emphasis by the court). The court also referred to its own previous holding that to allow members of a class who were not named plaintiffs to appeal would be an "affront to intelligent judicial administration." *In re Brand Name Prescription Drugs Antitrust Litig.*, 115 F.3d 456, 457 (7th Cir. 1997).

Noting that *Marino* had rejected appeal by a non-party in a class action under Rule 23, Fed. R. Civ. P., the Court of Appeals explained that in a Rule 23.1 shareholder derivative action, the jurisdictional deficiency of a non-party appeal is even more apparent:

> "Although there are differences between class actions and derivative suits, these cut against the appellants' position. . . . It is the fact that each class member has a real grievance with the defendant that sets up at least an equitable argument for a class member who wants to appeal. But in a shareholders' derivative action, the individual investor is not an injured party and is not entitled to litigate. A derivative suit is brought by an investor in the corporation's (not the investor's) right to recover for injury to the corporation."

P.C.A. 4a-5a. The court pointed out that any damages recovered in a derivative suit go to the corporation, and that the citizenship of derivative-suit plaintiffs is ignored for diversity jurisdiction. *Id.* at 5a, citing *Smith* v. *Sperling*, 354 U.S. 91 (1957). Although "monitoring [of settlements] is often useful and . . . intervention to facilitate an appeal could be justified," that "does not dispense with the need for an appeal by a party." *Id.* at 6a.

The Court of Appeals overruled a pre-*Marino* decision to the contrary,[7] P.C.A. 3a-4a, 7a, and expressed disagreement with a Third Circuit decision that had allowed non-party shareholders to appeal after concluding that they had "standing." *Bell Atlantic Corp.* v. *Bolger*, 2 F.3d 1304 (3d Cir. 1993). Standing, the Seventh Circuit said, looks only to injury, and "[p]arties are a subset of injured persons. Equating injury with party status is exactly the approach disapproved by *Marino*." P.C.A. 7a.[8]

CalPERS and FSBA sought certiorari, raising two questions: whether the Court of Appeals' holding that non-parties could not appeal was correct, and whether it should be made prospective only. Pet. Cert. i. This Court, Justice O'Connor not participating, granted certiorari as to the first question only. J.A. 351.

SUMMARY OF ARGUMENT

The issue before this Court is not whether shareholders objecting to a settlement of a derivative action may appeal. Clearly the Federal Rules provide ample means for their doing so. The only issue is whether CalPERS and FSBA may appeal on their own terms—without judicial leave, without the responsibilities of a party, and without complying with the procedure the Federal Rules establish.

For nearly 150 years this Court has held on many occasions that persons may not appeal the judgment of a federal court to which they have not been made or

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[7] *Tryforos* v. *Icarian Dev. Co.*, 518 F.2d 1258 (7th Cir. 1975) (Stevens, J.), *cert. denied sub nom. Manta* v. *Tryforos*, 423 U.S. 1091 (1976), which stated in a footnote that a non-party shareholder could appeal provided he or she had appeared in the district court. 518 F.2d at 1263 n.22. Justice Stevens later joined this Court's unanimous opinion in *Marino*.

[8] The Court of Appeals also held, citing *Firestone Tire & Rubber Co.* v. *Risjord*, 449 U.S. 368, 379 (1981), and similar decisions of this Court, that its jurisdictional ruling could not be made prospective only. P.C.A. 7a.

sought to become a party. Ten years ago this Court reiterated that familiar rule in the context of non-parties who objected to a class-action settlement and then attempted to appeal. *Marino* v. *Ortiz*, 484 U.S. 301 (1988).

CalPERS and FSBA argue that the rule, already "well settled" in 1850, should not apply to shareholders who submitted and argued objections to the settlement of a derivative action under Fed. R. Civ. P. 23.1. As legal analogy, they rely on cases in which persons became parties without intervention, as by order of a court, or by submitting to jurisdiction in an ancillary proceeding. As an excuse for not complying with the procedure specified in Fed. R. Civ. P. 24 for intervention, they and *amici* say that being large institutions they have difficulty reaching decisions promptly, and that they do not wish to bear the costs or obligations of parties. As incentive to grant the result they seek, they argue that some settlements of derivative actions are unwise or collusive, so that permitting more persons to appeal to block settlements would be a good thing.

There exists, however, written law that governs who may appeal the judgment in a civil action. With respect to settlements of derivative actions, Fed. R. Civ. P. 23.1 provides only that shareholders must be notified of a proposed settlement, and district-court approval must be obtained. Rule 23.1 does not convert objectors into parties—a distinction that was clear in the minds of its drafters—nor confer on them a right of appeal. The method to seek the status of a party is prescribed in Fed. R. Civ. P. 24, which requires a motion, a showing, and judicial determination. In addition, Rule 3(c) of the Federal Rules of Appellate Procedure in terms reserves the right of appeal to parties—as was held not only by this Court in *Marino*, but in many prior cases interpreting the identical language in Rule 3(c)'s predecessor. The Rules did not prevent CalPERS and FSBA from becoming parties—if they had moved to do so. But they did not want to be parties. They wanted instead something the Rules do not allow—

to avoid party responsibilities and yet become litigants in the court of appeals, entirely on their own prerogative, simply by filing a notice of appeal.

CalPERS and FSBA now call themselves *de facto* parties, even though neither the District Court nor the parties ever treated them as such. They also try to liken themselves to persons who have acquired the status of parties in ways other than intervention, often unwillingly—those to whom a court has directed a contempt citation or injunction, or who were litigants in ancillary proceedings like execution sales, or attorneys claiming a right to fees. Such situations are plainly unlike that of someone who was given a district court's ear, but who shunned assuming the responsibilities of a party.

The core of CalPERS' and FSBA's argument is to urge what they see as a policy improvement. They believe that it would be healthy to have more appeals of derivative-action settlements. Therefore, they argue, the Federal Rules should be interpreted to allow even non-parties to file such appeals. There is not, they say, "*any* countervailing benefit," Pet. Br. 12 (emphasis theirs), in restricting such appeals to parties.

Surely that is not so. The first countervailing benefit, of course, is faithfulness to the text and historical understanding of the Rules themselves, Rules which embody policy judgments already taken. Secondly, as the government's *amicus* brief with trepidation recognizes, the creature of non-party appeals once loosed would not be easily cabined. The same language that would have to be reread to permit non-party appeals in derivative actions would also govern other litigation, including class actions; in class actions, in fact, class members unlike shareholders in a derivative suit have personal claims at stake. Finally, surely there is something to be said for encouraging settlements; for not opening the courts of appeals to litigants (here very large and sophisticated ones) who spurned the opportunity to become parties but want the benefits; and for continuing, as the Rules prescribe, to vest in courts

some control over who may come from the sidelines to demand that the game be replayed.

Most importantly, whether these two institutional investors have an enlightened policy idea is not the point. Even if their controversial plan were wise, they have come to the wrong forum. Congress twice has recently changed procedures for securities litigation. It could do so again. So could the Rules Advisory Committees, who often recommend changes to this Court. But not a word in the Rules supports the ruling sought here. Whether or not they may some day be changed, revising them is not this Court's task today.

ARGUMENT

I. THE FEDERAL RULES DO NOT AUTHORIZE APPEALS BY NON-PARTIES IN SHAREHOLDER DERIVATIVE ACTIONS.

A. Civil Rule 23.1 Specifies the Procedural Rights of Non-Party Shareholders.

Rule 23.1 of the Federal Rules of Civil Procedure establishes the procedure for "a derivative action brought by one or more shareholders . . . to enforce a right of a corporation . . . , the corporation . . . having failed to enforce a right which may properly be asserted by it." Until the Rule's adoption in 1966, 383 U.S. 1031, 1050, shareholder derivative actions had proceeded under Rule 23, which covers class actions.[9] Rule 23.1 provides that "[t]he derivative action may not be maintained if it appears that the plaintiff does not fairly and adequately represent the interests of the shareholders or members similarly situated in enforcing the right of the corporation

[9] Rule 23.1 was derived from Rule 23, which in turn is traced to Federal Equity Rule 27, 226 U.S. 629, 656 (1912), and its predecessor, Federal Equity Rule 94, 104 U.S. ix (1882), which codified the requirements for shareholder derivative suits in *Hawes* v. *Oakland*, 104 U.S. 450, 461 (1882). See *Daily Income Fund, Inc.* v. *Fox*, 464 U.S. 523, 530-31 n.5 (1984); *Ross* v. *Bernhard*, 396 U.S. 531, 534 n.4 (1970).

or association." *Id.* It also specifies a procedure to be followed in settlements:

> "The action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to shareholders or members in such manner as the court directs."

Id. Thus with respect to settlements the Rule specifies two—but only two—procedural protections to shareholders who have made no effort to intervene in the case: (1) notice of any proposed settlement; and (2) a requirement for approval by the district court.[10]

CalPERS and FSBA assert that "[p]ursuant to Rule 23.1, absent shareholders have an absolute right to appear and object to a settlement," and that "a right to appeal is a critical component of the Rule 23.1 right to object, and a necessary counterpart to Rule 23.1's recognition of the shareholders as *de facto* parties." Pet. Br. 15. But Rule 23.1 nowhere designates non-party shareholders as *de facto* parties; the textual requirement of notice does not come even close to doing so. In addition to what Rule 23.1 commands, the District Court provided an opportunity to submit objections as well as a hearing at which objectors were allowed to and did appear and argue. J.A. 148, 333-47. Nothing in the text of Rule 23.1 converts shareholders, even objecting ones, into parties. And nothing in the Rule remotely hints at conferring on non-party objectors a right that parties enjoy, the right of appeal. Rule 23.1 provides what it provides, and nothing more.

The difference between persons who merely are heard by a court, and persons who become parties through summons or intervention, is elementary. Those who helped draft the original Federal Rules understood very well that distinction, as well as its consequences with respect to appeal:

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[10] By contrast, Rule 23(c) provides that all members of a class under Rule 23(b)(3) be given personal notice if practicable of their right to opt out, and that they may appear through counsel.

> "It must be remembered that the right to be heard is not the same as intervention. . . . One who is only given a right to be heard, and has not intervened, has no right of appeal."

Levi & Moore, *Federal Intervention: II. The Procedure, Status, and Federal Jurisdictional Requirements*, 47 YALE L.J. 898, 938 (1938). The distinction was and is recognized in many contexts. For example, in a reorganization proceeding, " 'If the court below wanted to hear [a non-party objector] as adviser, controller, or representative, it could do so, but this privilege did not give him the right to appeal as a party from the decree of the court,' " and "in this respect intervention finds its chief distinguishing feature from the practice of allowing a party to appear as an *amicus curiae*." *Id.* at 939, quoting *Public Serv. Comm'n* v. *Philadelphia Rapid Transit Co.*, 82 F.2d 481, 487 (3d Cir. (1935), *cert. denied*, 298 U.S. 673 (1936).[11] And in a criminal proceeding then Justice Hughes had written for this Court that "Neither Burlingame's appearance before the court, nor the order of reference, made Burlingame a party to the proceeding . . . . Burlingame had no standing to sue out a writ of error." *Grant* v. *United States*, 227 U.S. 74, 79 (1913). Professor Moore, who had played a large role in drafting the original Rule 23, published the first treatise on the new Federal Rules. In it he was unambiguous about what the Rules provided with respect to appeals:

> "Only a person who has become a party in the court below and who is aggrieved by the judgment or order can appeal therefrom. One who has become a party

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[11] See, *e.g.*, *United States* v. *Brooks*, 164 F.R.D. 501, 507 (D. Ore. 1995) (denying intervention but allowing appearance as *amicus curiae*); *Kind* v. *Markham*, 7 F.R.D. 265, 267 (S.D.N.Y. 1945) (same). *Cf. Ex parte Leaf Tobacco Bd.*, 222 U.S. 578, 580 (1911), in which attorney Benjamin N. Cardozo had argued for mandamus to allow his client to intervene, because "[t]here can be no appeal, because the petitioner was not a party to the suit." This Court often invites the United States or a state to express its views in a case and sometimes allows oral argument; that does not convert either into a party.

> by intervention, substitution, or third-party practice, is within such class."

3 J. MOORE & J. FRIEDMAN, MOORE'S FEDERAL PRACTICE 3393 (1938).

When Rule 23.1 was adopted in 1966, then Professor Benjamin Kaplan, Reporter to the Advisory Committee on Civil Rules, explicitly confirmed the continuing distinction between receiving notice or being heard, and being a party. Explaining Fed. R. Civ. P. 23(c)(2)(C), by which a class member not only was entitled to notice but "may, if the member desires, enter an appearance through counsel," he pointed out that even entering such an appearance does not transform a person into a party:

> "If 'appearance' is read as enabling the class member to be admitted automatically into the action as a party, it would stand in odd contrast to intervention in the action under rule 24, which is not automatic and requires a showing."

Kaplan, *Continuing Work of the Civil Committee: 1966 Amendments of the Federal Rules of Civil Procedure (I)*, 81 HARV. L. REV. 356, 392 n.137 (1967). "[A]ppearance" in Rule 23, he explained, meant a right to receive papers "with a view to deciding, *e.g.*, whether he should move to intervene." *Id.* Certainly no hint appears in the Advisory Committee Notes that by the requirement of notice of a proposed settlement, non-party shareholders might be converted into parties. The Advisory Committee's explanation mentioned nothing more than the district court's power to "require that any appropriate notice be given to shareholders." 39 F.R.D. 69, 108 (1966). Nor was any such intention expressed for the essentially identical language of Rule 23(e), which likewise was added in 1966, requiring notice of settlements of class actions. See *id.* at 107.

CalPERS and FSBA cling to an assertion: "The ability of a shareholder to appeal is coterminous with his ability to object in district court." Pet. Br. 11. But the text of Rule 23.1 suggests no such thing. And clearly the drafters of both Rule 23 and Rule 23.1 believed just the opposite. Assertion is all it is.

A Federal Rule is "as binding as any statute duly enacted by Congress, and federal courts have no more discretion to disregard the Rule's mandate than they do to disregard constitutional or statutory provisions." *Bank of Nova Scotia* v. *United States*, 487 U.S. 250, 255 (1988). See also *Pavelic & LeFlore* v. *Marvel Entertainment Group*, 493 U.S. 120, 123, 126 (1989) ("We give the Federal Rules of Civil Procedure their plain meaning" and "[o]ur task is to apply the text, not to improve upon it"); *Business Guides, Inc.* v. *Chromatic Communications Enterprises, Inc.*, 498 U.S. 533, 540 (1991); *Eisen* v. *Carlisle & Jacquelin*, 417 U.S. 156, 176 (1974); *Chambers* v. *NASCO, Inc.*, 501 U.S. 32, 69 (1991) (Kennedy, J., dissenting) ("[w]e are bound . . . by the Rules themselves"). Just last year this Court reminded:

> "Federal Rules take effect after an extensive deliberative process invoking many reviewers . . . . The text of a rule thus proposed and reviewed limits judicial inventiveness. Courts are not free to amend a rule outside the process Congress ordered . . . ."

Amchem Prods., Inc. v. *Windsor*, 117 S. Ct. 2231, 2248 (1997).

B. Civil Rule 24 Prescribes the Procedure and Standards for Intervention.

Rule 24 of the Federal Rules of Civil Procedure exists for the precise purpose of defining and controlling what persons may add themselves as parties to a lawsuit, and how. Derived from Federal Equity Rule 37, Rule 24 established a more regularized procedure and standards for intervention and determination of party status than had existed before. Under Rule 24, one who wishes to acquire the rights of a party must move to intervene. The Rule specifies standards for intervention, whether as of right (Rule 24(a)) or in the discretion of the district court (Rule 24(b)). It also specifies a procedure that

must be followed, and for judicial determination of the motion (Rule 24(c)). The Rule was amended in 1966 to make clear that one of its purposes was to permit intervention by class members. See Advisory Committee Note, 39 F.R.D. 69, 110-11 (1966).

Professor Kaplan, Reporter of the Advisory Committee, confirmed in 1966 that the redrafters of Rule 24, like the original drafters, precisely recognized that a person who chooses not to intervene cannot later appeal from the judgment in the case:

> "New rule 24(a)(2) invites us to see that the practical consequence to the applicants of being denied intervention is that *they cannot stop a settlement nor*, if dissatisfied with the decree entered after contest, *press their contentions on appeal* . . . ."

Kaplan, *supra*, 81 HARV. L. REV at 405 (emphasis supplied, referring to permissive intervention). "Being party to a suit carries with it significant advantages beyond the amicus' opportunities, not the least of which is the ability to appeal an adverse judgment." *Wichita & Affiliated Tribes* v. *Hodel*, 788 F.2d 765, 775 (D.C. Cir. 1986).

CalPERS and FSBA seek the benefits of party status without the burdens. As non-parties, CalPERS and FSBA escaped the obligations that the Federal Rules impose on a party—responsibilities that they did not want to undertake:

> "intervention involves significant burdens—such as drafting the equivalent of a complaint, submitting to the mandatory disclosure requirements of the Federal Rules, and subjecting oneself to depositions, interrogatories, and document requests."

Pet. Br. 12; see also *id.* at 16 ("the burdens associated with formally intervening"); *id.* at 35 ("significant financial disincentives"); *id.* at 36 ("the costs and burdens associated with party status"). Some of those "burdens" might be less if intervention came late in the proceeding, but at the very least the parties would have an opportunity

to respond,[12] make a record, and have the court decide the motion.[13]

Precisely because it is well recognized that the Federal Rules do not authorize non-parties to appeal, persons sometimes seek leave to intervene in the district court even after judgment, in order that they may appeal. This Court has noted with approval "several decisions of the federal courts permitting post-judgment intervention for the purpose of appeal." *United Airlines, Inc.* v. *McDonald*, 432 U.S. 385, 395 (1977) (footnote omitted); *cf. Marino* v. *Ortiz*, 484 U.S. 301, 304 (1988) ("they failed to intervene for purposes of appeal"); *Arizonans for Offi-*

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[12] A response to such a motion might question, for example, whether CalPERS' and FSBA's insistence on adopting CII's ideal model for corporate governance was primarily to benefit ADM or rather to further their own and CII's goals. According to CalPERS, it "has been and remains in the forefront of shareholder activism. In both the national and international marketplace, CalPERS is recognized as a standard-bearer for the corporate governance movement." See http://www.calpers.ca.gov/invest/corpgov. It submitted to the District Court an article that warned: "CEOs who resist pressure for strong governance risk having Calpers or regulatory bureaucrats tell them what kind of board they should have . . . ." J.A. 325.

[13] It has been suggested that institutional investors may want to avoid discovery's "heightened level of scrutiny for the institution." Grundfest & Perino, *The Pentium Papers: A Case Study of Collective Institutional Investor Activism in Litigation*, 38 ARIZ. L. REV. 559, 603 (1996). Also, *amici* Barclays *et al.* calculate that "the probable costs of intervention nearly always exceed the likely benefits." Barclays Br. 12. *Cf.* comment by general counsel of *amicus* State of Wisconsin Investment Board that "a new activism on the part of institutional investors . . . does not involve assuming control of a case as lead plaintiff" because to do so "is not believed to be cost-effective," and citing "relatively inexpensive mechanisms by which they can make their views known to litigants and courts alike . . . . without incurring the costs or exposing themselves to litigation risks inherent in strategies that require formal participation." Johnson, *Deterrence of Corporate Fraud Through Securities Litigation: The Role of Institutional Investors*, 60 LAW & CONTEMP. PROB. 155, 162 (1997), quoting in part Grundfest & Perino, *supra*, 38 ARIZ. L. REV. at 561.

cial English v. *Arizona*, 520 U.S. 43, 56, 66 (1997) (noting court of appeals' reversal of denial of post-judgment intervention, although questioning Article III standing).[14] If non-parties could appeal without seeking intervention—and without the showing of reasons and standing, the opportunity of the parties to oppose, and the district-court evaluation that Rule 24 prescribes—then the intervention procedure this Court has approved would be pointless.

Compliance with Rule 24 does not keep any person entitled to be a party from reaching the court of appeals. It is well established that if intervention is denied, the denial may be appealed. See *Marino* v. *Ortiz*, *supra*, 484 U.S. at 304; *United Airlines, Inc.* v. *McDonald*, *supra*, 432 U.S. at 393; P.C.A. 3a. Moreover, when denial of intervention is held to have been erroneous, courts of appeals often proceed to the merits of the would-be intervenor's arguments. See *United Airlines*, 432 U.S. at 390.[15]

Nor is compliance with Rule 24 an empty formality. To allow non-parties to confer party status upon themselves, as CalPERS and FSBA attempted to do here, would deprive the parties of any opportunity to object and submit for the record any reasons why such intervention did not satisfy the requirements of the Rule or otherwise should not be permitted. It would impair the control by district courts (and through them courts of

[14] The Court of Appeals observed that "we do not doubt . . . that intervention to facilitate an appeal could be justified." P.C.A. 6a.

[15] One *amicus* argues that some objectors might not be permitted to intervene if to do so would destroy diversity jurisdiction. CII Br. 22. No such impediment existed here, and that it might arise with respect to some objectors on some occasions does not alter the meaning of the Federal Rules. Moreover, the supposition is doubtful. See 7C C. WRIGHT, *et al.*, FEDERAL PRACTICE & PROCEDURE 24 (2d ed. 1986) ("intervention of additional shareholders will not divest a federal court of jurisdiction despite the fact that they are citizens of the same state as defendants"); *cf. Smith* v. *Sperling*, *supra*.

appeals) of the structure and dimensions of federal litigation. CalPERS and FSBA are claiming a power suddenly to convert themselves into litigants by their own will—without any judicial scrutiny, without any opportunity for other parties to object, and without any district-court determination. They would finesse the system and standards commanded in Rule 24, and grant themselves the right of a party to appeal—without any court's approval, simply by filing a notice of appeal.

C. Appellate Rule 3 Specifies That Appeals Are by Parties.

Rule 3 of the Federal Rules of Appellate Procedure reflects the same understanding as the Civil Rules: that to appeal, one must become a party. The text of Rule 3(c), as this Court noted in *Marino* v. *Ortiz*, 484 U.S. 301, 304 (1988), excludes appeals by persons not parties:

> "A notice of appeal must specify the party or parties taking the appeal . . . ."

Fed. R. App. P. 3(c); see also P.C.A. 2a. References confirming that the Appellate Rules require "parties" recur throughout Rule 3(c), and as well in Rules 3(b) and 3(d) and Rule 4(a), and throughout the Federal Rules.[16] Although CalPERS and FSBA argue that "[t]he title of that rule [3(c)] makes plain that it is concerned only with the formal 'content[s] of the notice of appeal,'" Pet. Br. 12, this Court and other courts have held otherwise. See *Marino* v. *Ortiz*, *supra*, 484 U.S. at 304; *Smith*

[16] Who is, and who is not, a party is fundamental to the structure of the Federal Rules. See, *e.g.*, Fed. R. Civ. P. 14(a) (authorizing third-party complaint against "a person not a party"); 19 (determining when a "person" is to be "made a party"); 26(a) (party's disclosure obligations); 32(a) (distinguishing party and non-party depositions); 34 (distinguishing party and non-party document production); 37(a)(1) (different venues for motions to compel discovery from parties or non-parties); 60(b) (party may move to set aside judgment). See also this Court's Rules 12.4, 12.6, 18.1, 18.2 (defining and stating duties of "parties" in Supreme Court).

v. *Barry*, 502 U.S. 244, 248 (1992) ("Rule 3's dictates are jurisdictional in nature"); *Torres* v. *Oakland Scavenger Co.*, 487 U.S. 312, 318 (1988) ("construing Rule 3(c) as a jurisdictional prerequisite").[17]

The pertinent language of Rule 3(c), adopted in 1967, 389 U.S. 1065, 1070, is substantially identical to that of former Fed. R. Civ. P. 73(b), adopted in 1938.[18] Many decisions had held that Rule 73(b) limited appeals to persons who had been parties in the district court. *E.g.*, *McShane* v. *United States*, 366 F.2d 286, 288 (9th Cir. 1966) ("One cannot be an appellant here unless he has been a party in the court below"); *United States* v. *Pan American World Airways, Inc.*, 299 F.2d 74, 76 (5th Cir. 1962) (dismissing appeal of United States because "[i]t was not a party to the proceedings in the district court"), *rev'd on other grounds*, 382 U.S. 25 (1965); *Heilman* v. *Ginberg*, 284 F.2d 239, 240 (D.C. Cir. 1960) (Burger, J.) ("[s]ince appellant was not a party . . . he had no right to appeal").[19]

A non-party may file a motion to intervene in the court of appeals, and on rare occasions these have been

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17 See also *Brotherhood of R.R. Trainmen* v. *Baltimore & O.R.R.*, 331 U.S. 519, 528-29 (1947), referring to "the wise rule that the title of a statute and the heading of a section cannot limit the plain meaning of the text."

18 308 U.S. 649, 749 (1938). Fed. R. Civ. P. 73(b) provided: "The notice of appeal shall specify the parties taking the appeal . . . ." See Advisory Committee Note, 43 F.R.D. 119, 126 (1967) (Rules 3 and 4 "merely restate, in modified form, provisions now found in the civil and criminal rules"). *Cf.* this Court's Rules 18.1 ("The notice of appeal shall specify the parties taking the appeal"), 18.2 ("All parties to the proceeding in the district court are deemed parties entitled to file documents in this Court").

19 *Accord, e.g., Commanding Officer* v. *United States ex rel. Bumanis*, 207 F.2d 499, 501 (6th Cir. 1953); *First Iowa Hydro Elec. Coop.* v. *Iowa-Illinois Gas & Elec. Co.*, 245 F.2d 630 (8th Cir. 1957). Rule 3(c) made no change in those jurisdictional rulings, consistently with Fed. R. App. P. 1(b).

granted.[20] But CalPERS and FSBA never filed such a motion.[21]

II. REJECTION OF NON-PARTY APPEALS LONG PRECEDED THE FEDERAL RULES.

A. *Marino* v. *Ortiz* Confirmed More Than a Century of This Court's Decisions.

In *Marino* v. *Ortiz*, 484 U.S. 301 (1988), affirming a holding of the Second Circuit that non-parties could not

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20 See, *e.g.*, *McKenna* v. *Pan American Pet. Corp.*, 303 F.2d 778, 779 (5th Cir. 1962) ("A court of appeals may, but only in an exceptional case for imperative reasons, permit intervention where none was sought in the district court"); *Baker* v. *Wade*, 769 F.2d 289, 291-92 (5th Cir. 1985) (*en banc*) (9-7), *cert. denied*, 478 U.S. 1022 (1986); *Hurd* v. *Illinois Bell Tel. Co.*, 234 F.2d 942, 944 (7th Cir.), *cert. denied*, 352 U.S. 918 (1956); *United States Cas. Co.* v. *Taylor*, 64 F.2d 521, 526 (4th Cir.), *cert. denied*, 290 U.S. 639 (1933). *Cf. INS* v. *Chadha*, 462 U.S. 919, 930 n.5 (1983) (court of appeals granted intervention after Senate and House passed authorizing resolutions); 28 U.S.C. § 2403 (allowing federal and state governments to intervene in certain constitutional cases and "have all the rights of a party and be subject to all liabilities of a party as to court costs"); 2 U.S.C. § 288e (authorizing Senate Legal Counsel to intervene in certain cases); see also Fed. R. App. P. 15(d) (authorizing intervention in cases reviewing administrative decisions).

21 An *amicus* brief argues that state practice should control an appeal to a United States Court of Appeals. Hamermesh Br. 3-15, 21-25. But "[i]t is settled that if the Rule in point is consonant with the Rules Enabling Act, 28 U.S.C. § 2072, and the Constitution, the Federal Rule applies regardless of contrary state law." *Gasperini* v. *Center for Humanities, Inc.*, 518 U.S. 415, 427 n.7 (1996). See also *Burlington N.R.R.* v. *Woods*, 480 U.S. 1, 8 (1987); *Hanna* v. *Plumer*, 380 U.S. 460, 473 (1965); *Byrd* v. *Blue Ridge Rural Elec. Coop., Inc.*, 356 U.S. 525, 537 (1958). The applicable Federal Rules do not alter the rules of decision governing substantive conduct. See *Mississippi Pub. Co.* v. *Murphree*, 326 U.S. 438, 445-46 (1946). Congress authorized this Court to promulgate federal rules of appellate procedure after being informed by the Judicial Conference that "[u]niformity of procedure in the 11 courts of appeals is today sadly lacking and it is very much in the public interest that uniformity of such procedure be achieved," and concluded that "uniformity of appellate procedure is urgently needed." H.R. Rep. No. 2153, 89th Cong., 2d Sess. 3, 5 (1966).

appeal a class-action consent decree, this Court reminded that "[t]he rule that only parties to a lawsuit, or those that properly become parties, may appeal an adverse judgment, is well settled." 484 U.S. at 304.

Marino was in no sense novel. This Court had reiterated the same rule just a month before, *Karcher* v. *May*, 484 U.S. 72, 77 (1987), and many times previously. The holding long antedates the Federal Rules, and indeed had been called "well settled" more than a century earlier. See *Payne* v. *Niles*, 20 How. 219, 221 (1858) ("it is very well settled in all common-law courts, that no one can bring up, as plaintiff in a writ of error, the judgment of an inferior court to a superior one, unless he was a party to the judgment in the court below . . . ."); *Bayard* v. *Lombard*, 9 How. 530, 551 (1850) ("It is a well settled maxim of the law, that 'no person can bring a writ of error to reverse a judgment who is not a party or privy to the record' "). *Accord, e.g., United States ex rel. Louisiana* v. *Jack*, 244 U.S. 397, 402 (1917) ("a subject no longer open to discussion"); *Ex parte Leaf Tobacco Bd.*, 222 U.S. 578, 581 (1911) ("One who is not a party to a record and judgment is not entitled to appeal therefrom"); *Guion* v. *Liverpool, London, & Globe Ins. Co.*, 109 U.S. 173 (1883) (appeal dismissed when "[h]e had applied for leave to become a party, but this leave was not given"); *Ex parte Cockcroft*, 104 U.S. 578, 578-79 (1882) ("Inasmuch, therefore, as the petitioner was not made a party to the suit, either by an express order of the court to that effect, or by being treated as such, his application for an appeal was properly denied"); *Ex parte Cutting*, 94 U.S. 14, 22 (1877) ("Only parties, or those who represent them, can appeal"); *Connor* v. *Peugh's Lessee*, 18 How. 394, 395 (1856) ("No one but a party to the suit can bring a writ of error").[22] Since

[22] The proper procedure to follow in a receivership was the issue in the unusual jurisdictional dispute in *Johnson* v. *Manhattan Ry.*, 289 U.S. 479 (1933). Rather than submit to the jurisdiction of a particular judge, some creditors who challenged his authority to appoint a receiver filed a new action before a different judge, who consolidated the two cases. This Court held that instead of starting a new action, the plaintiffs should have objected in the existing one, and appealed if dissatisfied. 289 U.S. at 495. This allusion assumed that, already parties in one case, they would have appeared as intervenors in the other, as many other claimants already had, done, *cf. id.* at 489. That assumption was confirmed by Judge Learned Hand's prior rejection of their argument that "they could not safely intervene" in the first action. *Johnson* v. *Manhattan Ry.*, 61 F.2d 934, 939 (2d Cir. 1932), *aff'd*, 289 U.S. 479 (1933). This Court also noted that appeals from appointments of receivers were authorized by a special jurisdictional statute, Act of June 6, 1900, ch. 803, 31 Stat. 660, then codified as 28 U.S.C. § 227 (1928), now as amended 28 U.S.C. § 1292(a)(2); the cases it noted in a footnote, 289 U.S. at 495 n.4, were appeals by parties or debtors or creditors making claims or brought into receivership proceedings.

1938 those longstanding decisions have had the additional authority of codification first in Fed. R. Civ. P. 73(b) and then in Fed. R. App. P. 3(c). See *Marino*, 484 U.S. at 304.

The government concedes in footnotes that "the general rule is that one must intervene in order to litigate (including appeal)." G. Br. 19 n.13; see also *id.* at 26-27 n.21 ("the long-standing general rule that only a party or a privy to the record may appeal"). The government argues, however, to adopt a different rule for derivative actions. It urges that *Marino* (and, apparently, the century of cases it reiterated) should be disregarded because in *Marino* the non-parties seeking to appeal were "strangers to the litigation" and "not members of the class." G. Br. 5. But as one court of appeals explained in rejecting that argument, in *Marino*

> "The Supreme Court was referring to officers who had filed objections to the settlement, and whose counsel was allowed to speak at the hearing and argue against the proposed settlement. . . . While they were not unnamed class members, . . . they were objecting to the approval of a settlement of the class action. We agree with *Guthrie* [v. *Evans*, 815 F.2d 626 (11th Cir. 1987)] that *Marino* provides substantial support for holding that unnamed class

> members who object to a settlement must move to intervene, and they will be denied standing to appeal when they have not done so."

Croyden Assocs. v. *Alleco, Inc.*, 969 F.2d 675, 679 (8th Cir. 1992), *cert. denied*, 507 U.S. 908 (1993). As in *Marino*, in the present case the non-parties were persons wholly distinct from the represented entity, the corporation; indeed, they were asserting a position *adverse* to that of the corporation acting through its Board of Directors, the majority of its shareholders, and its court-approved representatives. In such a posture *Marino*, even as narrowly explained by the government, applies.

Nor is there any basis for CalPERS and FSBA to assert that "[o]bjecting shareholders are at least 'privies to the record,'" Pet. Br. 25, in the sense that that term was used in *United States ex rel. Louisiana* v. *Jack*, *supra*, 244 U.S. at 402. The term "privity" referred usually to "mutual or successive relationship to the same rights of property," *Litchfield* v. *Goodnow's Admr.*, 123 U.S. 549, 551 (1887), and most often was used in the context of succession to estates and contract rights. See *Stacy* v. *Thrasher*, 6 How. 44, 58 (1848); *Bigelow* v. *Old Dominion Copper Mining & Smelting Co.*, 225 U.S. 111, 128-29 (1912); *cf.* Fed. R. Civ. P. 25(c) (substitution of parties succeeding to interest). In a derivative action, however, the claim is entirely the corporation's, and is not one to which individual shareholders succeed. As Judge Prettyman explained:

> "It is sometimes said that not only parties to the record, but also their privies, may appeal, and that if the decree affects a person's interests, he may appeal. We have examined all the cases we have found cited to that proposition, and find that they concern the right to intervene and then appeal."

United States v. *Seigel*, 168 F.2d 143, 145 (D.C. Cir. 1948) (footnotes omitted). In the very case petitioners cite, this Court called a state's argument that it could appeal from a settlement by a subordinate public agency "unsubstantial to the point of being frivolous." *Jack*, 244 U.S. at 401.

CalPERS and FSBA assert repeatedly that they were shareholders "whose rights were necessarily being adjudicated in the derivative action." Pet. Br. 10; see also *id.* at 11. That is not so. Members of a class, who have individual claims, have their own rights being adjudicated in the class action. That is why Rule 23, reflecting due process concerns, provides class members an opportunity to opt out or to appear, and for notice at the time of class certification, not just when a settlement is proposed. See Rule 23(c)(2); *cf. Phillips Pet. Co.* v. *Shutts*, 472 U.S. 797, 812 (1985); *Eisen* v. *Carlise & Jacquelin*, *supra*, 417 U.S. at 173-74; *Hansberry* v. *Lee*, 311 U.S. 32 (1940). But in a shareholder derivative action, which is brought "to enforce a right of a corporation," Rule 23.1, shareholders have no legally enforceable personal rights at stake at all. The only represented entity in a derivative suit is the corporation itself, not its shareholders. The net recovery also belongs only to the corporation. *Ross* v. *Bernhard*, 396 U.S. 531, 538 (1970); *Koster* v. *(American) Lumbermens Mut. Cas. Co.*, 330 U.S. 518 (1947).

The government asserts that "Here, the objecting shareholder has a personal stake in the outcome of a derivative action settlement." G. Br. 17-18. That certainly is incorrect as a matter of law, for any recovery belongs to the corporation. The government assumes that "the shareholders necessarily benefit from whatever recovery the corporation may realize on its claims." G. Br. 13. But even that factual assumption is not necessarily valid as a prediction of real-world economic consequences. Empirical study suggests, on the contrary, that for an ongoing enterprise there is little direct correlation at all [23]—which is why corporations and their shareholders often judge it

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[23] See, *e.g.*, Fischel & Bradley, *The Role of Liability Rules and the Derivative Suit in Corporate Law: A Theoretical and Empirical Analysis*, 71 CORN. L. REV. 261, 282 (1986) ("insignificant magnitude of these wealth-effects"); Romano, *The Shareholder Suit: Litigation Without Foundation?*, 7 J.L. ECON. & ORG. 55, 66-68 (1991).

wise and in their economic interest to terminate costly litigation on reasonable terms.[24]

B. Most Courts of Appeals Have Applied the Rule Reiterated in *Marino*.

The overwhelming weight of authority in the Circuits, before *Marino* and even more strongly since, has been to reject attempts by non-parties in representative actions to appeal. Most of the decisions have come in class actions. The government recognizes, G. Br. 6, that the notion that a non-party might be allowed to appeal in a derivative action originated in a 1942 Sixth Circuit decision, *Cohen* v. *Young*, 127 F.2d 721. Even that case, however, did not hold that what CalPERS is seeking here. For in *Cohen* the objecting shareholder had been served with an order to show cause, 127 F.2d at 723; and entirely unlike CalPERS and FSBA, he had "filed a petition to intervene" in the district court, but his "petition to intervene as plaintiff was denied." 127 F.2d at 723, 724. It is a commonplace that denials of motions to intervene are appealable. See p. 18, *supra*. Moreover, *Cohen* v. *Young*, as the Sixth Circuit twice later explained, depended also on the shareholder there having been actually served with an order to show cause, making him "like a defendant who is summoned by process of court," 127 F.2d at 724, quoting *Pianta* v. *H.M. Reich Co.*, 77 F.2d 888, 890 (2d Cir. 1935).

> "In *Cohen*, the appellant had received an order to show cause why the settlement should not be approved. . . . Cohen had no choice but to participate in the proceedings.
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> "By contrast, Lennon received no such summons. Lennon argues that he was figuratively 'summoned' into court and 'compelled' to appear in that if he did not, it would have prejudiced any subsequent ERISA claim by him . . . . But . . . . It is only when the court affirmatively orders a non-named party to appear that the party has standing to appeal."

Wilkenson v. *Hercules Engines, Inc.*, 138 F.3d 608, 611 (6th Cir. 1998). In another case the Sixth Circuit has explained that "for a non-named class member to have standing to appeal, there must be more than a mere requirement of notice," so "unnamed class members generally lack standing to appeal class settlements." "[A] mere voluntary appearance to state or file objections is an insufficient basis for standing to appeal." *Shults* v. *Champion Int'l Corp.*, 35 F.3d 1056, 1060, 1061 (6th Cir. 1994).[25] At most, *Cohen* stood for the proposition that one who was served with an order to show cause and who unsuccessfully had sought to intervene could appeal without appealing the intervention denial itself—reflecting the common practice of courts to reach the merits of a claim if they conclude that intervention should have been granted. See p. 18, *supra*.

The Third Circuit many years later ignored the limitations of *Cohen* v. *Young*. In a 1971 decision the Third Circuit with little explanation had allowed non-party class members to appeal in a class action. *Ace Heating & Plumbing Co.* v. *Crane Co.*, 453 F.2d 30, 33 (3d Cir. 1971). Then in 1993 it extended that holding to non-parties in a shareholder derivative action as well, based on its judgment that "assuring fair and adequate settlements outweighs concerns that non-intervening objectors will render the representative litigation 'unwieldy.'" *Bell Atlantic Corp.* v. *Bolger*, 2 F.3d 1304, 1310 (3d Cir. 1993). In another derivative action, the Seventh Circuit

[24] The new ADM board agreed to the settlement of this case "in order to limit further expense, inconvenience and distraction, to dispose of burdensome and protracted litigation, and to permit the operation of ADM's business without further expensive litigation and the distraction and diversion of ADM's executive personnel with respect to matters in issue in the Litigation." J.A. 112.

[25] In the present case the notice sent to shareholders specified that it was "merely to advise you" and that shareholders "*may* appear . . . to show cause why the proposed Settlement should not be approved." J.A. 135, 140 (emphasis supplied). They were "not required to do anything." *Phillips Pet. Co.* v. *Shutts*, *supra*, 472 U.S. at 810.

in 1975 in a footnote relied on *Cohen* v. *Young*, while adding that "no such appeal may be taken by a shareholder who has failed to make such an appearance." *Tryforos* v. *Icarian Dev. Co., supra*, 518 F.2d at 1263 n.22 (Stevens, J.), overruled in the present case, P.C.A. 7a.

Far more often than in derivative actions, non-party attempts to appeal have come up in class actions, particularly settlements under Rule 23(e). And most Circuits have emphatically rejected such attempts—citing *Marino* and similar authorities, and also warning of the consequences of allowing non-party appeals:

> "If individual appeals without formal intervention were to be permitted, the class action would break down under the burden of unpredictable and unlimited individual actions."

Gottlieb v. *Wiles*, 11 F.3d 1004, 1009 (10th Cir. 1993).[26] "[C]lass actions could become unmanageable." *Guthrie* v. *Evans*, 815 F.2d 626, 628 (11th Cir. 1987). An "affront to intelligent judicial administration." *In re Brand Name Drugs, supra*, 115 F.3d at 457. The Fifth Circuit was "[p]ersuaded that the reasoning employed by the Eleventh Circuit in *Guthrie* is correct," and also relied on *Marino*. *Walker* v. *City of Mesquite*, 858 F.2d 1071, 1073, 1074 (5th Cir. 1988); *accord*, *Loran* v. *Furr's/Bishop's Inc.*, 988 F.2d 554 (5th Cir. 1993). The Eighth Circuit agreed that "[w]e believe that *Guthrie* and *Walker* are persuasive authority and we see no decision that has pointed to a flaw in their analysis." *Croyden Assocs.* v. *Alleco, Inc., supra*, 969 F.2d at 680. So did the Seventh Circuit. *In re VMS Ltd. Partnership Securities Litig.*, 976 F.2d 362, 366 (7th Cir. 1992) ("[a]s a non-party, the Oversight Committee's participation in the proceedings challenging the sale of the Lynnhaven properties does not confer upon it the right to appeal the resulting order").[27]

[26] In *Rosenbaum* v. *MacAllister*, 64 F.3d 1439 (10th Cir. 1995), the Tenth Circuit emphasized that

> "To allow a nonintervening class member to appeal approval of a settlement would permit one dissident—and there is likely always to be one—to postpone realization of any of the benefits that might otherwise come to the class members and to prevent the defendant from settling its liability."

64 F.3d at 1442. However, it reasoned that appeal of the separate fee award, rather than of the settlement itself, "seems proper" and "would not be nearly as disruptive." *Id. Contra, In re Southeast Banking Corp. Securities Litig.*, 51 F.3d 1003, 1004 (11th Cir. 1995) ("a non-named class member who failed to intervene, lacks standing to appeal the district court's order on attorney's fees"), *cert. denied*, 516 U.S. 1044 (1996).

For the government to say that the Court of Appeals here "departed from a uniform rule in derivative actions that had long been applied in the courts of appeals," G. Br. 5, is scarcely informative. That statement ignores nearly all the pertinent court of appeals decisions, simply because they rejected non-party appeals in class actions—where the non-party's interest is, if anything, stronger. What the government describes as a "uniform rule" turns out to rest on a total of three cases spread over fifty years: one, *Cohen* v. *Young*, which the Sixth Circuit has confined to its facts, which are not present here; another, *Tryforos*, decided pre-*Marino* citing *Cohen*; and *Bell Atlantic*, in which the Third Circuit acknowledged the contrary authorities, but ruled otherwise based on that court's view of desirable policy. Unless class actions are ignored, the "uniform rule" is almost uniformly the other way.

CalPERS and FSBA and the government cite two treatises. But Moore's simply notes a split of authority on whether non-party objectors in class or derivative actions may appeal. 5 J. MOORE, MOORE'S FEDERAL PRACTICE ¶ 23.1.10[3] (D. Coquillette *et al.*, 3d ed. 1998). The Wright & Miller treatise asserts in a single sentence that a non-party shareholder may appeal; but it offers no supporting reasoning[28] and relies solely on a

[27] The Ninth Circuit, however, has said that it will permit non-party appeals when "the equities weigh in favor of hearing the appeal." *EEOC* v. *Pan American World Airways, Inc.*, 897 F.2d 1499, 1504 (9th Cir.), *cert. denied*, 498 U.S. 815 (1990).

[28] As the government in citing Wright & Miller puts it, "[t]hat rule had been reported by influential commentators without any question as to its validity." G. Br. 5-6. However, the government's

district-court case.[29] An unpublished article cited by CalPERS and FSBA, as its title's reference to "conflicting ideologies "suggests, presents a policy argument for "adopting a rule that requires only objections to preserve appellate rights in derivative suits," while at the same time acknowledging that to do so would "make[] settlements more costly and increase[] the likelihood that settlements will be more difficult to finalize." [30]

C. CalPERS and FSBA Did Not Become Parties Without Intervention.

Just as a defendant becomes a party when served with a summons, persons may become parties when they are subjected to the process or orders of a court, or when they are disputants in ancillary proceedings. No such situation exists here, yet CalPERS and FSBA make a Procrustean effort to fit. Lacking support in the English of the Federal Rules, occasionally they flee to Latin.

1. *They Were Not Made Parties De Facto.*

Throughout their brief CalPERS and FSBA refer to themselves as *de facto* parties, sometimes citing Rule 23.1,

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quotation from the second edition of Moore, G. Br. 6 (citing 3B J. MOORE, MOORE'S FEDERAL PRACTICE (2d ed. 1948-96)), has been deleted from the third edition, as noted above. The government cites to Moore's third edition except for this point, where it instead cites to the second. *Compare* G. Br. 13, 14, *with id.* 6.

[29] 7C C. WRIGHT, *et al.*, FEDERAL PRACTICE & PROCEDURE 182 (2d ed. 1986 & Supp. 1998), citing *Webcor Electronics* v. *Whiting*, 101 F.R.D. 461, 465 n.11 (D. Del. 1984). Its current supplement adds only a citation to the Third Circuit decision in *Bell Atlantic Corp.* v. *Bolger*, *supra*, and does not mention the contrary decisions in the Fifth, Sixth, Eighth, Tenth and Eleventh Circuits, nor mention *Marino* v. *Ortiz*. C. WRIGHT, *et al.*, *supra*, 1998 Supp. at 13 n.22.

[30] Kim, *Conflicting Ideologies of Group Litigation: Who May Challenge Settlements in Class Actions and Derivative Suits?*, ms. at 69-70 (copy lodged with Clerk). No analysis was offered to support the assertion in an article appearing in 1969—citing *Cohen* v. *Young*—that non-party objectors could appeal. Haudek, *The Settlement and Dismissal of Stockholders' Actions—Part II: The Settlement*, 23 S.W.L.J. 765, 803 (1969).

which says no such thing. *E.g.*, Pet. Br. 10, 11, 15. Cases do exist in which a would-be intervenor has been treated by the district court and litigants as a party for all purposes, without entry of an order granting intervention. See, *e.g.*, *Martindell* v. *International Tel. & Tel. Corp.*, 594 F.2d 291, 294 (2d Cir. 1979) ("amounted to a *de facto* grant of permissive intervention pursuant to Rule 24(b)"); *Adams* v. *Morton*, 581 F.2d 1314, 1318 (9th Cir. 1978), *cert. denied*, 440 U.S. 958 (1979). Thus this Court in *Karcher* v. *May*, *supra*, referred to the rule that "one who is not a party *or has not been treated as a party* to a judgment has no right of appeal therefrom." 484 U.S. at 77 (emphasis supplied). But the record leaves no doubt that CalPERS and FSBA were never treated as parties by anyone at any time in the District Court—least of all by themselves. See J.A. 349. If they had been, they would have been subject to all the orders of the court and all the responsibilities of parties—burdens, they said, that they were unwilling to assume. *See* p. 16, *supra*. Their repeated invocation of the self-bestowed soubriquet "*de facto* party" is simply a rehashing of their assertion that by objecting, an objector becomes a party who can appeal. Not so under the Federal Rules.[31]

2. *They Were Not Summoned or Ordered.*

One who has had a court order issued against him or her personally of course may appeal. Contempt and injunctions are examples. See, *e.g.*, *United States Catholic Conference* v. *Abortion Rights Mobilization*, 487 U.S. 72, 76 (1988) ("The right of a nonparty to appeal an adjudication of contempt cannot be questioned"); *Keith* v. *Volpe*, 118 F.3d 1386, 1391 n.7 (9th Cir. 1997) (nonparty may appeal when he "was haled into this action by the district court over his objections"); *Jenkins* v. *Missouri*, 967 F.2d 1245, 1247 (8th Cir.) ("a non party

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[31] *Wolf* v. *Barkes*, 348 F.2d 994 (2d Cir.), *cert. denied*, 382 U.S. 941 (1965), which CalPERS and FSBA cite for the proposition that "absent shareholders are *de facto* parties," Pet. Br. 14, says nothing of the sort.

may appeal an injunction that purports to bind the non party"), *cert. denied*, 506 U.S. 1033 (1992); *Mitchell* v. *Lay*, 48 F.2d 79, 85 (9th Cir. 1930) ("brought into court by the process of the court"), *cert. denied*, 283 U.S. 864 (1931); *Cohen* v. *Young*, *supra*.

CalPERS and FSBA were not like persons responding to a contempt citation, or subjected to an injunction—but now they strain to be. Their tinkering with their own Question Presented to this Court betrays anxiety: they now wish to portray themselves as persons "summoned to appear in federal district court." Pet. Br. i.[32] They, along with 243,000 other ADM shareholders, see J.A. 147, 197, received a letter pursuant to Rule 23.1 giving notice of the proposed settlement. It told them that it was "merely to advise you," and that they "may" appear. J.A. 135, 140. On that basis they now say that "the district court had expressly summoned petitioners to participate in this case pursuant to Rule 23.1." Pet. Br. 9. Their Petition for Certiorari was more accurate. It said that "the district court . . . invited" ADM shareholders to

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[32] The question stated in the Petition, which this Court granted certiorari to review, J.A. 351, was

> "Whether a nonparty shareholder *who appears, in response to notice* provided under Federal Rule of Civil Procedure 23.1, to present objections to a proposed dismissal or settlement of a derivative action may appeal an adverse decision even though the shareholder has not been formally made a party to the action."

Pet. Cert. i (emphasis supplied). The revised question stated in the Brief for Petitioners is:

> "Whether a shareholder *who*, pursuant to Federal Rule of Civil Procedure 23.1, *is summoned to appear* in federal district court and present objections to a proposed dismissal or settlement of a derivative action must also intervene pursuant to Federal Rule of Civil Procedure 24 in order to appeal an adverse decision."

Pet. Br. i (emphasis supplied). *Compare* also Pet. Br. 8 (describing the notice as "directing" shareholders "to 'appear and show cause'") (omitting "may" and "merely to advise you"), *with* J.A. 135, 140.

appear and present objections to the proposed settlement. Pet. Cert. 7; see also *id.* ("the court's invitation"). In reality, of course, Rule 23.1 *summons* no one; it provides that "notice of the proposed dismissal or compromise shall be given to shareholders." CalPERS and FSBA "were not haled anywhere." *Phillips Pet. Co.* v. *Shutts*, *supra*, 472 U.S. at 809.

3. *They Were Not Parties in an Ancillary Proceeding.*

Appeals may arise after a case has spawned subsidiary proceedings, usually post-judgment, that are ancillary to the litigation in chief. Disputes in court-ordered foreclosure sales, enforcement of bonds against sureties, and claims by attorneys for statutory fees, are common examples. See, *e.g.*, *Boyle* v. *Zacharie*, 6 Pet. 648, 656 (1832) ("a writ of error will lie" for "an erroneous award of execution, not warranted by the judgment"). The issues in such disputes are not the ones litigated in the original case, and the adversaries usually are different as well.

Fastening onto the fact that appeals may arise from rulings in such proceedings—which the government itself describes as "ancillary," G. Br. 16—the government urges a conspicuous *non sequitur*: it argues that because rulings may be appealed by parties to ancillary proceedings, appeals should also be permitted to nonparty shareholders who object to the final judgment resolving the very case the parties litigated and settled. G. Br. 11, 15. On the basis of such authority—which the government faintly labels "significant support," G. Br. 16—it asks this Court to ignore Rules 23.1 and 24 and complicate modern civil procedure with an amorphous legal category of "quasi parties."

Even the government is forced to concede how narrow and particularized were the cases it cites, "which permitted *limited appeals* in *discrete circumstances* by certain *'quasi parties,'*" G. Br. 8 (emphasis supplied), recognizing, it says, a *"narrow right* of quasi parties to appeal in *limited*

circumstances," *id.* at 11 (emphasis supplied), cases it acknowledges "included *only a narrow range* of appellants," *id.* (emphasis supplied). The array of qualifiers is essential. All the cases it cites (and which CalPERS and FSBA do not) were collateral or ancillary proceedings and matters discrete from the original litigation, in which the persons contesting were effectively involved in their own separate disputes—"quasi parties" being a term used in some of the cases to characterize the distinction.

The government devotes two pages to *Blossom* v. *Milwaukee R.R.*, 1 Wall. 655 (1864), a case which simply recognized that a bidder in a post-decree foreclosure sale who by court order was denied his purchase could appeal. This Court's opinion in that case opened by reaffirming that

> "It is certainly true that he cannot appeal from the original decree of foreclosure, nor from any other order or decree of the court made prior to his bid."

1 Wall. at 655. It then pointed out that the dispute arose entirely in an ancillary proceeding, and explained that

> "after a decree adjudicating certain rights between the parties to a suit, other persons having no previous interest in the litigation may become connected with the case, in the course of the subsequent proceedings, in such a manner as to subject them to the jurisdiction of the court, and render them liable to its orders . . . ."

1 Wall. at 655-56. Such persons, it said—for example, sureties or receivers on writs of attachment—"become *quasi* parties to the proceedings, and subject themselves to the jurisdiction of the court, so that summary judgments may be rendered on their bonds or recognizances." 1 Wall. at 656. By contrast, it was exactly the *refusal* of CalPERS and FSBA to "subject themselves to the jurisdiction of the court" that caused the dismissal of their appeal.

Similarly, in *Williams* v. *Morgan*, 111 U.S. 684 (1884), another post-decree dispute, this Court stated that "the

only question on the merits relates to the compensation which ought to be allowed to the trustees and receivers of a certain railroad mortgage for their services." 111 U.S. 685. Bondholders, who contested the amount, had been allowed as of right to appeal and become what this Court described as "quasi parties," defined as "persons incidentally interested in some branch of a cause [who] *have been allowed to intervene* for the purpose of protecting their interest." 111 U.S. at 698-99 (emphasis supplied).[33] This Court explained that "the right . . . to appeal . . . depends on their right to intervene." *Id.* at 696.

Moreover, what the government chooses to call "the doctrine of quasi parties," G. Br. 11, is scarcely so exalted. The term originated to describe persons not present but represented in a proceeding in equity. On closer examination one discovers that the terms "quasi party" or "quasi parties" have appeared in only four opinions in the entire history of this Court. The most recent was in 1923, and none of them remotely resembled a non-party shareholder appeal in a derivative action.[34] The rediscov-

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[33] The government speculates that in the Nineteenth Century this Court "often used the term 'intervene' in the sense of participation." G. Br. 17 n.11. That is not demonstrated by any of the three cases it cites. What can more accurately be said is that until 1938 "there has been no settled uniform practice in regard to proper procedure on intervention," and that Rule 24 in 1938 regularized the standards and procedure. Levi & Moore, *supra*, 47 YALE L.J. at 903. The government concedes that "the standards for objecting under Rule 23.1 are different from intervention under Rule 24." G. Br. 24.

[34] In addition to *Blossom* v. *Milwaukee R.R.* and *Williams* v. *Morgan*, already discussed, see *Pease* v. *Rathbun-Jones Engineering Co.*, 243 U.S. 273, 279 (1917) ("sureties become quasi parties to the proceedings, and subject themselves to the jurisdiction of the court, so that summary judgment may be rendered on their bonds"); *Toledo Scale Co. v. Computing Scale Co.*, 261 U.S. 399, 427 (1923) (sureties are liable on their bonds as quasi parties). Several of the cases the government lists as "quasi party" decisions never used such a term at all. *E.g.*, *Kneeland* v. *American Loan & Trust Co.*,

ered antique phrase "quasi parties" occurs more times in the brief the government has filed in this case than in all this Court's decisions for the past two centuries.

D. Developments in English Chancery Did Not Alter the Established Rule.

CalPERS and FSBA also cite a Nineteenth Century English writer's comments on developments in English chancery practice, comments which even if relevant[35] are not at all inconsistent with the rule reiterated in *Marino* and its predecessors. Initially English law courts had been generally unwilling to adjudicate the rights of individuals not present, and would simply dismiss for absence of necessary parties. To elide that difficulty, the Court of Chancery from expediency sometimes pretended that absent persons were present, occasionally referring to them as "*Quasi* parties." *See Cockburn* v. *Thompson*, 16 Ves. Jun. 321, 327, 33 Eng. Rep. 1005, 1007 (Ch. 1809). Such instances arose typically in litigation determining the rights of remaindermen to entailed estates, and also occasionally when an adjudication concerned rights of a group too numerous as a practical matter for all to litigate. Such cases became more numerous in the early Nine-

136 U.S. 89 (1890) (called at G. Br. 16 one of "this Court's quasi party cases"); *Sage* v. *Railroad Co.*, 96 U.S. 712 (1878) (described at G. Br. 10 n.4 as involving "quasi parties").

35 English equity practice after American independence was not considered binding precedent, nor of course were commentaries upon it. "[A] check has wisely been provided against the assumption of equity jurisdiction by any new rule in English courts since the Revolution." *Baker* v. *Biddle*, 2 Fed. Cas. 439, 447 (C.C.E.D. Pa. 1831) (No. 764); see also *Pierpont* v. *Fowle*, 19 Fed. Cas. 652, 655 (C.C.D. Mass. 1846) (No. 11,152); *cf. Cathcart* v. *Robinson*, 5 Pet. 264, 280 (1831). Federal equity jurisdiction was established in the first Judiciary Act, Act of Sept. 24, 1789, ch. 20, §§ 11, 15, 16, 1 Stat. 73, 78, 82, and the Process Act, Act of May 8, 1792, ch. 36, § 2, 1 Stat. 275, 276. *Cf. Galloway* v. *United States*, 319 U.S. 372, 392 n.23 (1943) (noting "plastic and developing character" of English procedure); *Markman* v. *Westview Instruments, Inc.*, 517 U.S. 370, 383 (1996) (noting that an English decision was rendered "more than 70 years after the time that concerns us").

teenth Century, when Lord Eldon was Lord Chancellor; as he candidly explained, "the Court does what it can." *Cockburn* v. *Thompson, supra*, 16 Ves. Jun. at 326, 33 Eng. Rep. at 1007; see discussion in *Duke of Bedford* v. *Ellis*, [1901] A.C. 1, 8-11 (H.L.) (Lord Macnaghten). "The English judges had no hesitation in jumping, not only the obstacle of unjoined parties, but also the obstacle of binding them without a day in court." Z. CHAFEE, SOME PROBLEMS OF EQUITY 212-13 (1950).

The latter point was the concern of Frederic Calvert, who in the 1830s and 1840s urged that "every individual *ought*, as it appears to me, to . . . have the power of appealing, whether he has been a suitor . . . or by some other person as his representative." Quoted at Pet. Br. 20 (emphasis supplied).[36] As the word "ought" signals, Calvert was making proposals for changes in the law. And the background of his suggestion, as was stated in his more substantial treatise, was that "the persons, whom it is proposed to affect by the decree compulsorily, must be made parties on record."[37] He did quote a ruling by the House of Lords that a tenant in tail whose remainder rights had been adjudicated might appeal—but also that the manner to do so was by what today would be called post-judgment intervention: "making himself a party to the suit instituted in said Court, by filing a supplemental Bill to have the benefit of the proceedings therein, for the purpose of

36 F. CALVERT, OBSERVATIONS UPON SOME OF THE DIFFICULTIES ATTENDING SUITS IN EQUITY AMONGST THE SHAREHOLDERS OF JOINT STOCK COMPANIES: WITH SUGGESTIONS FOR IMPROVEMENT IN THE FORMS OF PROCEEDING 38 (2d ed. 1846). Calvert described it as a "Pamphlet," and explained that "[t]he object of it is to suggest a system, by which the disputes of shareholders of joint stock companies *inter se* may be adjusted in a Court of Equity with the least possible inconvenience." *Id.* at 2.

37 F. CALVERT, A TREATISE UPON THE LAW RESPECTING PARTIES TO SUITS IN EQUITY 68 (2d ed. 1847). Professor Chafee termed it a work of "learned obscurity." CHAFEE, *supra*, at 200.

appealing from said Decree." *Giffard* v. *Hort*, 1 Sch. & Lef. 386, 411 (Ir. Ch. 1804, H.L. 1805).[38]

Justice Story summarized similar equity practice in the United States: "This Court will not suffer its jurisdiction to be ousted by the mere joinder or non-joinder of formal parties; but will rather proceed without them, and decide upon the merits of the case between the parties, who have the real interests before it, whenever it can be done without prejudice to the rights of others." *Wormley* v. *Wormley*, 8 Wheat. 421, 451 (1823). Respecting the latter point, he had suggested, as is incompletely quoted at Pet. Br. 20, that absent individuals could seek "other equitable relief, if their rights are jeoparded"—not that they could appeal. *West* v. *Randall*, 29 Fed. Cas. 718, 723 (C.C.D.R.I. 1820) (No. 17,424).[39] This Court later held that due process guarantees would not permit absent individuals to be bound by adjudications of their personal rights without adequate notice, representation and opportunity to be heard. *Hansberry* v. *Lee*, *supra*, 311 U.S. at 41-42 (1940) (citing *West*); see also *Phillips Pet. Co.* v. *Shutts*, *supra*, 472 U.S. at 811-12.[40]

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[38] CALVERT, *supra* n.37, at 66. See also *Osborne* v. *Usher*, 6 Bro. P.C. 20, 2 Eng. Rep. 905 (H.L. 1721) (remainderman of entailed estate had standing to appeal). Commenting on that case and others, Lord Eldon later observed that "it is very dangerous to trust to loose doctrines in old cases." *Lloyd* v. *Johnes*, 9 Ves. Jun. 37, 55, 32 Eng. Rep. 514, 521 (Ch. 1804).

[39] Justice Story in his discussion in *West* had noted the English terminology of "*quasi* parties." 29 Fed. Cas. at 723. He repeated it in his treatise. See J. STORY, COMMENTARIES ON EQUITY PLEADING 96 (2d ed. 1840) ("they may come in, or show it to be erroneous, or entitle themselves to a rehearing").

[40] CalPERS and FSBA have not attempted to question that Rule 23.1 satisfies due process. A student note cited by CalPERS and FSBA relied on the statements of Calvert and Story to conclude that there had been "a long history of taking a liberal view of appeals by unnamed 'class members'" in circumstances where their personal claims had been adjudicated. Comment, *The Appealability of Class Action Settlements by Unnamed Parties*, 60 U. CHI. L. REV. 933, 941 (1993); *cf. Gottlieb* v. *Wiles*, *supra*, 11 F.3d at 1012 n.7 ("we disagree with this student's analysis").

III. NON-PARTY APPEALS WOULD NOT BE CONFINED TO DERIVATIVE ACTIONS.

A. Non-Party Shareholder Appeals Would Mean Non-Party Appeals in Class Actions.

The procedural virus CalPERS and FSBA propose to release would infect other litigation. Rule 23(e), dealing with settlements of class actions, is an almost verbatim copy of the corresponding sentence of Rule 23.1. If the Federal Rules entitle non-parties to appeal in shareholder derivative actions, then will not the same words allow nonparties in class actions to appeal as well? Class actions are, indeed, an *a fortiori* case.[41] As the Court of Appeals pointed out, unlike the non-party shareholder in a derivative action, the class member has at stake a personal legal claim.[42] P.C.A. 4a-5a. In fact, two *amici* who often pursue class actions observe that "the question of appealability in the Rule 23 context is closely related to appealability in a Rule 23.1 derivative action, and thus it is likely that the decision of this Court will answer the Rule

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[41] "[T]he effect of a Rule 23.1 judgment on the absent shareholders is less significant than that of a Rule 23 judgment. Unlike a class action, the shareholder-plaintiff is not seeking to enforce an individual right belonging to each of the shareholders; he is suing on behalf of the corporation. . . . Moreover, the judgment in a derivative suit will not preclude any right of action that an absent shareholder might have in this individual capacity against the corporation or the real defendants in the derivative suit." 7C C. WRIGHT, *et al.*, *supra*, at 198 (footnote omitted).

[42] The additional provisions for notice, appearance and opportunity to opt out that Rule 23 provides to members of a class, but are absent in Rule 23.1, reflect heightened due process concerns that do not apply in shareholder derivative actions. See Advisory Committee Note, 39 F.R.D. 69, 106-07 (1966), citing *Hansberry* v. *Lee*, *supra*. CalPERS and FSBA oddly argue that "the case for the appellate rights of objectors is stronger in the derivative suit context because absent shareholders (unlike absent class members) have no ability to opt out of the suit." Pet. Br. 18 n.16. But the reason Rule 23.1 does not provide for opting out, of course, is that their own legal rights are not being adjudicated. Assuming fair and adequate representation, "one shareholder is interchangeable with any other shareholder in such suits." Z. CHAFEE, *supra*, at 222.

23 issue as well." Pub. Cit. Br. 4. CalPERS and FSBA themselves concede that "[t]he same basic rationale permits appeals by objecting class members in a Rule 23 class action." Pet. Br. 18 n.16.

There were 1,223 new class actions filed in the federal courts in 1996, and 1,709 in 1997.[43] Rule 23(e) and Rule 23.1 have the same operative language, which by ordinary rules of construction must mean for each the same thing. Of course, a line could be drawn arbitrarily limiting non-party appeals to derivative actions—but only by amending the Federal Rules.

B. Non-Party Appeals Would Unsettle Litigation of Many Other Kinds.

Even beyond class actions, if non-party shareholder appeals were authorized, then disgruntled non-parties would be able to claim a right to appeal without intervention in many other kinds of litigations well—a great variety of cases affecting groups of people. *Cf., e.g., New York* v. *Rebok Int'l, Ltd.*, 96 F.3d 44, 48 (2d Cir. 1996) (holding that under *Marino* non-parties could not appeal settlement of *parens patriae* litigation).

Flinching at the consequences of letting the barrier down, the government urgently cautions that "in only limited circumstances may a person who is not formally a named party to a case be regarded as a quasi party." G. Br. 15. It warns against "the potential for uncertain application of this Court's quasi party cases in other contexts," and urges that "recognition of quasi party status in situations not covered in the federal rules of procedure should be sparing indeed." *Id.* at 16. The government also asks that even in derivative suits, non-party appeals should be confined to objections to settlements—which it chooses, without any basis at all since a settlement resolves the complaint, to characterize as "ancillary." *Id.* at 16-17.

[43] ADMINISTRATIVE OFFICE OF THE UNITED STATES COURTS, STATISTICAL TABLES FOR THE FEDERAL JUDICIARY, DECEMBER 31, 1997, Table X-5 (1998).

The government is particularly vehement that it must be exempted from the rule it seeks for others. There are to be no non-party appeals for the cases it wants to settle. "[A] citizen who objects to entry of a government-sponsored settlement decree," says the government, should not be allowed to conduct a non-party appeal even when a statute has guaranteed a right to object. G. Br. 18 & n.13.[44] This, says the government, is because it enjoys "special status as champion of the public interest" and "represent[s] the public interest at large (as opposed to a corporation's financial interest)." G. Br. 18 n.13.

Such line-drawing could perhaps be envisioned if the Federal Rules were amended. But there is not a word in the Federal Rules on which to base such sorting out of the non-party appeals the government wants from those it does not want. What the government is offering amounts to a legislative proposal. The government is really asking this Court to use adjudication to draft a new rule.[45]

IV. CALPERS' AND FSBA'S POLICY ARGUMENTS ARE INCOMPLETE AND MISDIRECTED.

A. CalPERS' and FSBA's Policy Arguments Rest on Flawed Assumptions and Ignore Competing Policies.

CalPERS and FSBA have been able to assemble a pile of *amicus* briefs, including not only one from their own Council of Institutional Investors, see J.A. 298, 318, but two others that the Council in turn has funded. See Barclays Br. 1-2 n.1; Hamermesh Br. 1 n.1. What is striking about such submissions is that in large measure they are scarcely legal analyses at all, but rather policy arguments that resemble testimony at a Congressional hearing.

[44] Citing statutory rights to object to settlements provided in Antitrust Procedures and Penalties Act, 15 U.S.C. § 16(f)(3), CERCLA, 42 U.S.C. § 9622(d)(2), and Solid Waste Disposal Act, 42 U.S.C. § 6973(d), as well as 28 C.F.R. § 50.7 (settlements of pollution claims).

[45] *Cf.* 28 U.S.C. § 473(c) (exempting government litigation from some settlement procedures of Civil Justice Reform Act).

CalPERS and FSBA contend that if they are denied their wish to appeal as non-parties, "[t]hat unfortunate consequence would not be offset by *any* countervailing benefit." Pet. Br. 12 (emphasis in original); see also *id.* at 15-16 ("without furthering any countervailing policies"); see also CII Br. at 16 ("without providing any offsetting benefit"), 21 ("no corresponding benefit"), 26 ("without any corresponding benefit"). In reality, however, there are significant practical and policy considerations on the other side.

1. *CalPERS' and FSBA's Arguments Assume Inadequate Representation and Faulty Judicial Performance.*

CalPERS and FSBA say they fear "more approvals of inadequate and collusive derivative suit settlements." Pet. Br. 12. They and their supporting *amici* assert that unless objecting shareholders are allowed to appeal without intervention under the Federal Rules, district court settlements will not receive adequate appellate supervision. See Pet. Br. 32-34; CII Br. 16-28; Pub. Cit. Br. 22-23; G. Br. 21-24. They never really explain, however, why the appeals available to shareholders who comply with the Federal Rules are not enough. To say that "[o]nly objecting shareholders can give a federal court the benefit of an adversarial presentation," Pet. Br. 32, is no answer. At issue is not whether objectors may express their views to the district court without intervening (they can), nor even whether intervening objectors may appeal (they can), but rather whether an objector may decline to intervene, yet then appeal nevertheless. *Cf. In re Asbestos Litig.*, 90 F.3d 963, 990 (5th Cir. 1996) (dismissing appeals of objectors in class action who had not intervened, but deciding appeals of those who had done so), *vacated on other grounds*, 117 S. Ct. 2503 (1997), *on remand*, 134 F.3d 668 (5th Cir.), *cert. granted sub nom. Ortiz* v. *Fibreboard Corp.*, 118 S. Ct. 2339 (1998).

There is no empirical evidence that district courts regularly shirk their responsibilities in evaluating the fairness of settlements under Rule 23.1. District-court rejections of

derivative-action settlements regularly occur.[46] A computer search for the period 1971-1996 identified 25 reported appeals from federal district court approvals of settlements of derivative litigation, of which 20 resulted in affirmance.[47] Of the other five, only one rejected a settlement on the merits.[48] Similarly, a study of class

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[46] *E.g.*, among reported disapprovals, *In re Oracle Securities Litig.*, 829 F. Supp. 1176, 1190 (N.D. Cal. 1993) (disapproving settlement); *Krasner* v. *Dreyfus Corp.*, 500 F. Supp. 36, 45 (S.D.N.Y. 1980) (conditionally disapproving settlement); *Goldsholl* v. *Shapiro*, 417 F. Supp. 1291, 1300 (S.D.N.Y. 1976) (disapproving settlement).

[47] *City Partnership Co.* v. *Atlantic Acquisition Ltd. Partnership*, 100 F.3d 1041 (1st Cir. 1996); *In re Pacific Enterprises Securities Litig.*, 47 F.3d 373 (9th Cir. 1995); *Ackerman* v. *Kassar*, 5 F.3d 534 (9th Cir. 1993) (table); *Bell Atlantic Corp.* v. *Bolger*, 2 F.3d 1304 (3rd Cir. 1993); *Granada Investments, Inc.* v. *DWG Corp.*, 962 F.2d 1203 (6th Cir. 1992); *Zarowitz* v. *Bankamerica Corp.*, 866 F.2d 1164 (9th Cir. 1989); *Zimmerman* v. *Bell*, 800 F.2d 386 (4th Cir. 1986); *In re Warner Communications Securities Litig.*, 798 F.2d 35 (2nd Cir. 1986); *Wiener* v. *Roth*, 791 F.2d 661 (8th Cir. 1986); *Jones* v. *Nuclear Pharmacy, Inc.*, 741 F.2d 322 (10th Cir. 1984); *In re General Tire & Rubber Co. Securities Litig.*, 726 F.2d 1075 (6th Cir. 1984), *cert. denied*, 469 U.S. 858 (1984); *Blatt* v. *Dean Witter Reynolds Intercapital, Inc.*, 732 F.2d 304 (2d Cir. 1984); *TBK Partners, Ltd.* v. *Western Union Corp.*, 675 F.2d 456 (2d Cir. 1982); *Maher* v. *Zapata Corp.*, 714 F.2d 436 (5th Cir. 1983); *Shlensky* v. *Dorsey*, 574 F.2d 131 (3d Cir. 1978) (affirming settlement, remanding on attorneys' fees); *Miller* v. *Republic Nat'l Life Ins. Co.*, 559 F.2d 426 (5th Cir. 1977); *Pearson* v. *Ecological Science Corp.*, 522 F.2d 171 (5th Cir. 1975), *cert. denied*, 425 U.S. 912 (1976); *Greenspun* v. *Bogan*, 492 F.2d 375 (1st Cir. 1974); *Wesson* v. *Mississippi River Corp.*, 486 F.2d 1398 (2d Cir.) (table), *cert. denied*, 414 U.S. 1112 (1973); *United Founders Life Ins. Co.* v. *Consumers Nat'l Life Ins. Co.*, 447 F.2d 647 (7th Cir. 1971). There were at least six, not four, such appeals since 1990, listed *supra* and in n.48, *infra*. *Cf.* Pet. Br. 37-38 n.37.

[48] See *In re Pittsburgh & L.E.R.R. Securities and Antitrust Litig.*, 543 F.2d 1058 (3d Cir. 1976) (holding district court abused its discretion); see also *Rosenbaum* v. *MacAllister*, 64 F.3d 1439 (10th Cir. 1995) (remanding for evidentiary hearing on attorneys' fees); *Clark* v. *Lomas & Nettleton Financial Corp.*, 625 F.2d 49 (5th Cir. 1980) (vacating because directors not competent to settle), *cert. denied*, 450 U.S. 1029 (1981); *Saylor* v. *Bastedo*, 623

actions in four federal judicial districts confirmed that "Few of the appeals resulted in altering the prior decision of the trial judge." T. WILLGING, *et al.*, EMPIRICAL STUDY OF CLASS ACTIONS IN FOUR FEDERAL DISTRICT COURTS 82 (Fed. Judicial Ctr. 1996). *Cf. Evans* v. *Jeff D.*, 475 U.S. 717, 742 (1986) ("we shall rely primarily on the sound discretion of the district courts").

2. *Non-Party Appeals Are Not Essential To Protect Objecting Shareholders.*

Not to permit non-party shareholder appeals scarcely prevents judicial review, including appellate review, of derivative-action settlements. It has often been noted that such non-parties have a number of options.[49] In the first place, any shareholder may bring a derivative action. CalPERS and FSBA chose not to exercise that option, preferring instead to be free riders and have others perform that task.[50] They also, of course, could have sought to intervene, before or after judgment; they elected not to do that, either. They were prevented from appealing, not by any difficult obstacles created by the Federal Rules, but rather by their own choice. An *amicus* brief asks this Court in applying the Federal Rules to take pity on the plight of the large investor, able to function on Wall Street but described as too bureaucratic and slow to respond to

F.2d 230 (2d Cir. 1980) (reversing for procedural error); *Girsh* v. *Jepson*, 521 F.2d 153 (3d Cir. 1975) (reversing for insufficient notice and discovery).

[49] See *Shults* v. *Champion Int'l Corp.*, *supra*, 35 F.3d at 1058-59; *Croyden Assocs.* v. *Alleco, Inc.*, *supra*, 969 F.2d at 678; *Walker* v. *City of Mesquite*, *supra*, 858 F.2d at 1073-75; *Guthrie* v. *Evans*, *supra*, 815 F.2d at 628.

[50] At the same time, their association, CII, laments the unwillingness of institutional investors to become named plaintiffs in shareholder securities litigation. CII Br. at 25. *Cf.* Weiss & Beckerman, *Let the Money Do the Monitoring: How Institutional Investors Can Reduce Agency Costs in Securities Class Actions*, 104 YALE L.J. 2053, 2095 (1995) (noting that rather than becoming lead plaintiffs or intervening, institutional investors "have sat on the sidelines").

the supposed lightning pace of shareholder litigation.[51] *But cf. Eisen* v. *Carlisle & Jacquelin*, *supra*, 417 U.S. at 176 (rejecting argument that Rule 23's requirements "can be tailored to fit the pocketbooks of particular plaintiffs").

Moreover, in a case of real collusion or fraud at the expense of the corporation, or gross malfeasance by its board of directors in settling a derivative suit—something CalPERS and FSBA did not even attempt to show here, see J.A. 338—a non-party shareholder would not be precluded from bringing a separate derivative action to challenge the settlement. *Cf. Matsushita Elec. Indus. Co.* v. *Epstein*, 516 U.S. 367, 396 (1966) (Ginsburg, J., concurring and dissenting); *Hansberry* v. *Lee*, *supra*; *Wolf* v. *Barkes*, 348 F.2d 994 (2d Cir.), *cert. denied*, 382 U.S. 941 (1965). In class actions "it is recognized that under circumstances of inadequate representation, relief may be pursued in a collateral proceeding." *Guthrie* v. *Evans*, *supra*, 815 F.2d at 628; *Shults* v. *Champion Int'l Corp.*, *supra*, 35 F.3d at 1058.

3. *Non-Party Appeals Would Make Settlements More Difficult, Costly and Uncertain.*

Besides disrupting the appellate process, the rule that CalPERS and FSBA seek would be frankly designed to make settlement of shareholder derivative actions more difficult. See Pet. Br. 32-33; G. Br. 22-24. Yet traditionally and with good reason, the general policy of the law has been to favor, not discourage, settlements. See, *e.g.*, *McDermott, Inc.* v. *AmClyde*, 511 U.S. 202, 215 (1994) ("public policy wisely encourages settlements"); *Donovan* v. *Robbins*, 752 F.2d 1170, 1177 (7th Cir. 1985) ("settlements are favored and ordinarily should be approved"); *cf. Carson* v. *American Brands, Inc.*, 450 U.S. 79, 89-90

[51] According to the Barclays Global Investors Brief, large institutional investors have a "lengthy decision-making process" and only "limited resources for coping with the larger responsibilities associated with intervention"—although the signatories to that brief say they control "about $9.5 trillion in assets." Barclays Br. at 11, 5, 2.

(1981) (order preventing settlement immediately appealable). Encouragement of settlements is a policy also endorsed by Congress, see 28 U.S.C. §§ 473(a)(3)(A), 473(b)(5); Fed. R. Evid. 408 and Advisory Committee Note, 56 F.R.D. 187, 227 (1972) ("public policy favoring the compromise and settlement of disputes"). It is also written into several of the Federal Rules. See Fed. R. Civ. P. 16(a)(5) ("facilitating the settlement of the case" an objective of pretrial conference); Fed. R. Civ. P. 68 (enforceable offer of judgment); see *Marek* v. *Chesny*, 473 U.S. 1, 5 (1985). In addition, many federal Circuits have adopted rules that require participation in pre-appeal settlement conferences.[52]

CalPERS and FSBA can scarcely argue that a non-party appeal is necessary to benefit ADM and its shareholders. ADM's new board of directors, which is responsible for managing the company, voted to settle these sixteen lawsuits, to end the time and money drain of litigation. J.A. 112. And ADM's shareholders themselves just two years ago considered the very same proposals that CalPERS and FSBA seek to have a court impose—and voted them down. J.A. 308, 318-19. None of ADM's 365 other institutional shareholders objected to the proposed settlement. Only five objections from its other approximately 243,000 shareholders were submitted. *See* n.6, *supra*. "For aught that appears, the course pursued by the directors has the approval of all the stockholders except the plaintiffs." *United Copper Securities Co.* v. *Amalgamated Copper Co.*, 244 U.S. 261, 264 (1917) (Brandeis, J.); see also *Hawes* v. *Oakland*, *supra*, 104 U.S. at 462 ("[t]he great body of the stockholders . . . may take this view of it, and be content to abide by the action of their directors"). Finally, one may note that CalPERS and FSBA, who say that they "awarded ADM a grade of 'F'" under its former board of directors, Pet. Br. 4, have not sold

[52] See First Circuit Rule 47.5; Second Circuit Rules, App. C; Sixth Circuit Rule 18; Ninth Circuit Rule 33-1; Tenth Circuit Rule 33.1; Eleventh Circuit Rule 33-1; D.C. Circuit Rules, App. III; Federal Circuit Rule 33.

their stock in ADM. Apparently CalPERS' and FSBA's money managers are less dismayed than their lawyers.

4. Non-Party Appeals Would Proliferate and Confuse Appellate Litigation.

CalPERS and FSBA assert that not to allow non-parties to appeal "would dramatically decrease [the] number" of appeals challenging settlements, Pet. Br. 33—even though most Circuits do not allow non-party appeals now, and intervention under Rule 24 remains available. They regard low numbers of appeals of derivative action settlements as a cause for concern, and assume that adding to the appellate dockets more litigation from shareholders unwilling to intervene would be a good thing. Pet. Br. 37-38. But the soundness of their view is not self-evident. Might a paucity of appeals not reflect that most such settlements are widely welcomed? And that district courts, who have been assigned broad discretion whether to approve, usually are adequately doing their jobs?[53] Is the blocking or challenging of more settlements for the duration of an appellate process a public benefit? That the ruling sought here would indeed mean more appeals, they say, "[t]here is . . . no question." *Id.* at 34.

B. Policy Arguments Should Be Directed to Congress or the Rules Advisory Committees.

The appropriate policies for conducting shareholder derivative actions and class actions are a topic of neither consensus nor neglect. "[S]hareholder derivative suits have been controversial since their inception." Swanson, *Corporate Governance: Sliding Seamlessly into the Twenty-First Century*, 21 J. CORP. LAW 417, 437 (1996). *Cf. Cohen* v. *Beneficial Indus. Loan Corp.*, 337 U.S. 541, 551 (1949): "In dealing with such difficult and controversial subjects, only experience will verify or disclose weaknesses

[53] See *City Partnership Co.* v. *Atlantic Acquisition Ltd. Partnership*, 100 F.3d 1041, 1043-44 (1st Cir. 1996); *Granada Investments, Inc.* v. *DWG Corp.*, 962 F.2d 1203, 1205 (6th Cir. 1992); *Maher* v. *Zapata Corp.*, 714 F.2d 436, 455 (5th Cir. 1983).

and defects of any policy and teach lessons which may be applied by amendment."

A case this Court decided the same year as *Marino* illustrates the most fundamental flaw in CalPERS' and FSBA's plethora of policy arguments. In *Torres* v. *Oakland Scavenger Co.*, 487 U.S. 312 (1988), parties not named in a notice of appeal were dismissed because of Appellate Rule 3(c)'s requirement that the notice of appeal "must specify the party or parties taking the appeal." Declining to consider policy arguments, this Court looked to the text of Rule 3(c), explaining that "we are convinced that the harshness of our construction is 'imposed by the legislature and not by the judicial process.'" 487 U.S. at 318, quoting *Schiavone* v. *Fortune*, 477 U.S. 21, 31 (1986).[54] Soon thereafter Rule 3(c) was amended to permit omission of the names of parties appealing as long as they were unambiguously described. 507 U.S. 1061, 1063 (1993); see Advisory Committee Note, 113 S. Ct. pref. 484, 487 (1992).[55]

Even to draft the procedure being asked for here would not be simple, and would require resolving many questions. CalPERS and FSBA apparently propose to limit non-party appeals to shareholders who appear in court and file objections. See Pet. Br. 15. Or perhaps to those who simply file them? Or to those who write a letter? Or who argue at a hearing? The government, on the other

[54] In *Torres* the dismissal resulted from a clerical error. In this case CalPERS and FSBA say that they had believed that the Seventh Circuit did not require intervention for appeals in derivative suits, Pet. Br. 9—even after the Seventh Circuit had already emphatically held that non-parties could not appeal even in class actions. See *In re Brand Name Drugs, supra*. Even if mistaken about the law, CalPERS and FSBA still could have requested leave to intervene in the Court of Appeals, but they did not do so.

[55] *Cf. also, e.g.*, 105 Stat. 1076 (1991), 42 U.S.C. § 2000e-2(n), enacted after *Martin* v. *Wilks*, 490 U.S. 755 (1989), to alter procedure for notice of and objections to Title VII consent decrees, see G. Br. 26 n.20; 105 Stat. 2387 (1991), 15 U.S.C. § 78aa-1 (overruling retroactive application of *Lampf, Pleva, Lipkind, Prupis & Petigrow* v. *Gilbertson*, 501 U.S. 350 (1991)).

hand, contemplates a right of appeal for any shareholder "who submits an objection," G. Br. 1—always excepting however, challenges to its own settlements. See pp. 40-41, *supra*. Such lines cannot be extracted from the text of any of the present Federal Rules. But they could be debated and devised if Congress acted or the Rules were amended. In *Martin* v. *Wilks*, 490 U.S. 755, 767 (1989), this Court in declining to adopt a proposed interpretation of other Federal Rules regarding parties explained that "Even if we were wholly persuaded by these arguments as a matter of policy, acceptance of them would require a rewriting rather than an interpretation of the relevant rules."

How shareholder derivatives suits and class actions should be conducted and adjudicated remains among the most contentious issues of public policy today. CalPERS and FSBA note that "Congress . . . changed many of the procedural rules associated with securities class actions." Pet. Br. 37 n.35. The past two Congresses have acted twice to regulate the conduct of representative securities suits in the federal courts. Private Securities Litigation Reform Act of 1995, 109 Stat. 737, 15 U.S.C. §§ 78u-4(a)(3)(B)(iii)(I), 78u-4(a)(7) (preference that large investors be lead class-action plaintiffs; special notice provisions to shareholders) (enacted over veto); Securities Litigation Uniform Standards Act of 1998, 112 Stat. 3227. Bills on these subjects continue to be introduced and hearings held;[56] but as in some related controversial areas, "Congress, however, has not adopted such a solution." *Amchem Prods., Inc.* v. *Windsor, supra*, 117 S. Ct. at 2252. "[T]he proper venue for resolving that issue remains the floor of Congress." *Lexecon, Inc.* v. *Milberg Weiss Bershad Hynes & Lerach*, 118 S. Ct. 956, 964 (1998).

[56] *E.g.*, in the 105th Congress, H.R. 660, H.R. 1689, H.R. 1252, H.R. 1283, H.R. 3789, S. 2083. See, *e.g.*, *Class Action Lawsuits: Examining Victim Compensation and Attorneys' Fees*, Hearing before Subcomm. on Admin. Oversight and the Courts, Senate Comm. on Judiciary, 105th Cong., 1st Sess. 37 (1997) (report of Judge Niemeyer on Rules changes adopted and considered, stating that "we wish to work with Congress on these issues").

In addition, the Judicial Code provides for a rulemaking process, assigned to this Court, 28 U.S.C. § 2072, and conducted by the Advisory Committees established by the Judicial Conference, subject to this Court's and Congressional oversight. *Cf.* Order, 507 U.S. 1091 (1993) (Statement of Justice White). The Federal Rules are constantly reviewed by the Advisory Committees and regularly amended in light of experience. *E.g.*, Order, 118 S. Ct. pref. 399 (1998) (amending Fed. R. Civ. P. 23 to allow interlocutory appeals of class certification); id. at 405 (revising Fed. R. App. P. 3).[52]

In the last footnote of its brief, the government acknowledges the proper way to resolve contentious policy issues of procedure for shareholder litigation: "In the alternative, the Federal Rules of Civil and Appellate Procedure could be amended to address the problem." G. Br. 29 n.23. Exactly so.

CONCLUSION

For the reasons stated, certiorari should be dismissed or the judgment of the Court of Appeals affirmed.

Respectfully submitted,

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[57] Between 1962 and 1993, Federal Rules were adopted or amended 64 times. See Order, 507 U.S. 1091, 1092 (Statement of White, J). See also Proposed Amendments to Federal Rules of Civil Procedure, 119 S. Ct. CtR 163, 186 (1998) (Advisory Committee request for comments on proposed amendments to Federal Rules); *cf.* Schwarzer, *Settlement of Mass Tort Class Actions: Order Out of Chaos*, 80 CORN. L. REV. 837, 843 (1995) ("Amendment of Rule 23(e) is . . . worthy of consideration").

ADDENDUM

ADDENDUM

TITLE 28 UNITED STATES CODE

Section 1254 provides:

Courts of appeals; certiorari; certified questions

Cases in the courts of appeals may be reviewed by the Supreme Court by the following methods:

(1) By writ of certiorari granted upon the petition of any party to any civil or criminal case, before or after rendition of judgment or decree;

(2) By certification at any time by a court of appeals of any question of law in any civil or criminal case as to which instructions are desired, and upon such certification the Supreme Court may give binding instructions or require the entire record to be sent up for decision of the entire matter in controversy.

Former § 1254, prior to amendment in 1988, 102 Stat. 662, provided:

Courts of appeals; certiorari; appeal; certified questions.

Cases in the courts of appeals may be reviewed by the Supreme Court by the following methods:

(1) By writ of certiorari granted upon the petition of any party to any civil or criminal case, before or after rendition of judgment or decree;

(2) By appeal by a party relying on a State statute held by a court of appeals to be invalid as repugnant to the Constitution, treaties or laws of the United States, but such appeal shall

preclude review by writ of certiorari at the instance of such appellant, and the review on appeal shall be restricted to the Federal questions presented;

(3) By certification at any time by a court of appeals of any question of law in any civil or criminal case as to which instructions are desired, and upon such certification the Supreme Court may give binding instructions or require the entire record to be sent up for decision of the entire matter in controversy.

FEDERAL RULES OF CIVIL PROCEDURE

Rule 23 provides:

Class Actions

(a) **Prerequisites to a Class Action.** One or more members of a class may sue or be sued as representative parties on behalf of all only if (1) the class is so numerous that joinder of all members is impracticable, (2) there are questions of law or fact common to the class, (3) the claims or defenses of the representative parties are typical of the claims or defenses of the class, and (4) the representative parties will fairly and adequately protect the interests of the class.

(b) **Class Actions Maintainable.** An action may be maintained as a class action if the prerequisites of subdivision (a) are satisfied, and in addition:

(1) the prosecution of separate actions by or against individual members of the class would create a risk of

(A) inconsistent or varying adjudications with respect to individual members of the class which would establish incompatible standards of conduct for the party opposing the class, or

(B) adjudications with respect to individual members of the class which would as a practical matter be dispositive of the interests of the other members not parties to the adjudications or substantially impair or impede their ability to protect their interests; or

(2) the party opposing the class has acted or refused to act on grounds generally applicable to the class, thereby making appropriate

final injunctive relief or corresponding declaratory relief with respect to the class as a whole; or

(3) the court finds that the questions of law or fact common to the members of the class predominate over any questions affecting only individual members, and that a class action is superior to other available methods for the fair and efficient adjudication of the controversy. The matters pertinent to the findings include: (A) the interest of members of the class in individually controlling the prosecution or defense of separate actions; (B) the extent and nature of any litigation concerning the controversy already commenced by or against members of the class; (C) the desirability or undesirability of concentrating the litigation of the claims in the particular forum; (D) the difficulties likely to be encountered in the management of a class action.

(c) **Determination by Order Whether Class Action to be Maintained; Notice; Judgment; Actions Conducted Partially as Class Actions.**

(1) As soon as practicable after the commencement of an action brought as a class action, the court shall determine by order whether it is to be so maintained. An order under this subdivision may be conditional, and may be altered or amended before the decision on the merits.

(2) In any class action maintained under subdivision (b)(3), the court shall direct to the members of the class the best notice practicable under the circumstances, including individual notice to all members who can be identified through reasonable effort. The notice shall advise each member that (A) the court will exclude the member from the class if the member so requests by a specified date; (B) the judgment, whether favorable or not, will include all members who do not request exclusion; and (C) any member who does not request exclusion may, if the member desires, enter an appearance through counsel.

(3) The judgment in an action maintained as a class action under subdivision (b)(1) or (b)(2), whether or not favorable to the class, shall include and describe those whom the court finds to be members of the class. The judgment in an action maintained as a class action under subdivision (b)(3), whether or not favorable to the class, shall include and specify or describe those to whom the notice provided in subdivision (c)(2) was directed, and who have not requested exclusion, and whom the court finds to be members of the class.

(4) When appropriate (A) an action may be brought or maintained as a class action with respect to particular issues, or (B) a class may be divided into subclasses and each subclass treated as a class, and the provisions of this rule shall then be construed and applied accordingly.

(d) **Orders in Conduct of Actions.** In the conduct of actions to which this rule applies, the court may make appropriate orders: (1) determining the course of proceedings or prescribing measures to prevent undue repetition or complication in the presentation of evidence or argument; (2) requiring, for the protection of the members of the class or otherwise for the fair conduct of the action, that notice be given in such manner as the court may direct to some or all of the members of any step in the action, or of the proposed extent of the judgment, or of the

opportunity of members to signify whether they consider the representation fair and adequate, to intervene and present claims or defenses, or otherwise to come into the action; (3) imposing conditions on the representative parties or on intervenors; (4) requiring that the pleadings be amended to eliminate therefrom allegations as to representation of absent persons, and that the action proceed accordingly; (5) dealing with similar procedural matters. The orders may be combined with an order under Rule 16, and may be altered or amended as may be desirable from time to time.

(e) **Dismissal or Compromise.** A class action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to all members of the class in such manner as the court directs.

(f) **Appeals.** A court of appeals may in its discretion permit an appeal from an order of a district court granting or denying class action certification under this rule if application is made to it within ten days after entry of the order. An appeal does not stay proceedings in the district court unless the district judge or the court of appeals so orders.

Rule 23.1 provides:

Derivative Actions by Shareholders

In a derivative action brought by one or more shareholders or members to enforce a right of a corporation or of an unincorporated association, the corporation or association having failed to enforce a right which may properly be asserted by it, the complaint shall be verified and shall allege (1) that the plaintiff was a shareholder or member at the time of the transaction of which the plaintiff complains or that the plaintiff's share or membership thereafter devolved on the plaintiff by operation of law, and (2)

that the action is not a collusive one to confer jurisdiction on a court of the United States which it would not otherwise have. The complaint shall also allege with particularity the efforts, if any, made by the plaintiff to obtain the action the plaintiff desires from the directors or comparable authority and, if necessary, from the shareholders or members, and the reasons for the plaintiff's failure to obtain the action or for not making the effort. The derivative action may not be maintained if it appears that the plaintiff does not fairly and adequately represent the interests of the shareholders or members similarly situated in enforcing the right of the corporation or association. The action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismisal or compromise shall be given to shareholders or members in such manner as the court directs.

Rule 24 provides:

Intervention

(a) **Intervention of Right.** Upon timely application anyone shall be permitted to intervene in an action: (1) when a statute of the United States confers an unconditional right to intervene; or (2) when the applicant claims an interest relating to the property or transaction which is the subject of the action and the applicant is so situated that the disposition of the action may as a practical matter impair or impede the applicant's ability to protect that interest, unless the applicant's interest is adequately represented by existing parties.

(b) **Permissive Intervention.** Upon timely application anyone may be permitted to intervene in an action: (1) when a statute of the United States confers a conditional right to intervene; or (2) when an applicant's claim or defense and the main action have a question of law or fact in common. When a

party to an action relies for ground of claim or defense upon any statute or executive order administered by a federal or state governmental officer or agency or upon any regulation, order, requirement, or agreement issued or made pursuant to the statute or executive order, the officer or agency upon timely application may be permitted to intervene in the action. In exercising its discretion the court shall consider whether the intervention will unduly delay or prejudice the adjudication of the rights of the original parties.

(c) **Procedure.** A person desiring to intervene shall serve a motion to intervene upon the parties as provided in Rule 5. The motion shall state the grounds therefor and shall be accompanied by a pleading setting forth the claim or defense for which intervention is sought. The same procedure shall be followed when a statute of the United States gives a right to intervene. When the constitutionality of an act of Congress affecting the public interest is drawn in question in any action in which the United States or an officer, agency, or employee thereof is not a party, the court shall notify the Attorney General of the United States as provided in Title 28, U.S.C. § 2403. When the constitutionality of any statute of a State affecting the public interest is drawn in question in any action in which that State or any agency, officer, or employee thereof is not a party, the court shall notify the attorney general of the State as provided in Title 28, U.S.C. § 2403. A party challenging the constitutionality of legislation should call the attention of the court to its consequential duty, but failure to do so is not a waiver of any constitutional right otherwise timely asserted.

Former Rule 73, 309 U.S. 749 (1938), provided in part:

Appeal to a Circuit Court of Appeals.

(a) How Taken. When an appeal is permitted by law from a district court to a circuit court of appeals and within the time prescribed, a party may appeal from a judgment by filing with the district court a notice of appeal. Failure of the appellant to take any of the further steps to secure the review of the judgment appealed from does not affect the validity of the appeal, but is ground only for such remedies as are specified in this rule or, when no remedy is specified, for such action as the appellate court deems appropriate, which may include dismissal of the appeal.

(b) Notice of Appeal. The notice of appeal shall specify the parties taking the appeal; shall designate the judgment or part thereof appealed from; and shall name the court to which the appeal is taken. Notification of the filing of the notice of appeal shall be given by the clerk by mailing copies thereof to all the parties to the judgment other than the party or parties taking the appeal, but his failure so to do does not affect the validity of the appeal. The notification to a party shall be given by mailing a copy of the notice of appeal to his attorney of record or, if the party is not represented by an attorney, then to the party at his last known address, and such notification is sufficient notwithstanding the death of the party or of his attorney prior to the giving of the notification. The clerk shall note in the civil docket the names of the parties to whom he mails the copies, with date of mailing.

* * * *

FEDERAL RULES OF APPELLATE PROCEDURE

Rule 3 provides:

Appeal as of Right—How Taken

(a) **Filing the Notice of Appeal.**

(1) An appeal permitted by law as of right from a district court to a court of appeals may be taken only by filing a notice of appeal with the district clerk within the time allowed by Rule 4. At the time of filing, the appellant must furnish the clerk with enough copies of the notice to enable the clerk to comply with Rule 3(d).

(2) An appellant's failure to take any step other than the timely filing of a notice of appeal does not affect the validity of the appeal, but is ground only for the court of appeals to act as it considers appropriate, including dismissing the appeal.

(3) An appeal from a judgment by a magistrate judge in a civil case is taken in the same way as an appeal from any other district court judgment.

(4) An appeal by permission under 28 U.S.C. § 1292(b) or an appeal in a bankruptcy case may be taken only in the manner prescribed by Rules 5 and 6, respectively.

(b) **Joint or Consolidated Appeals.**

(1) When two or more parties are entitled to appeal from a district-court judgment or order, and their interests make joinder practicable, they may file a joint notice of appeal. They may then proceed on appeal as a single appellant.

(2) When the parties have filed separate timely notices of appeal, the appeals may be joined or consolidated by the court of appeals.

(c) **Contents of the Notice of Appeal.**

(1) The notice of appeal must:

(A) specify the party or parties taking the appeal by naming each one in the caption or body of the notice, but an attorney representing more than one party may describe those parties with such terms as "all plaintiffs," "the defendants," "the plaintiffs A, B, et al.," or "all defendants except X";

(B) designate the judgment, order, or part thereof being appealed; and

(C) name the court to which the appeal is taken.

(2) A pro se notice of appeal is considered filed on behalf of the signer and the signer's spouse and minor children (if they are parties), unless the notice clearly indicates otherwise.

(3) In a class action, whether or not the class has been certified, the notice of appeal is sufficient if it names one person qualified to bring the appeal as representative of the class.

(4) An appeal must not be dismissed for informality of form or title of the notice of appeal, or for failure to name a party whose intent to appeal is otherwise clear from the notice.

(5) Form 1 in the Appendix of Forms is a suggested form of a notice of appeal.

(d) **Serving the Notice of Appeal.**

(1) The district clerk must serve notice of the filing of a notice of appeal by mailing a copy to each party's counsel of record—excluding the appellant's—or, if a party is proceeding pro se, to the party's last known address. When a defendant in a criminal

case appeals, the clerk must also serve a copy of the notice of appeal on the defendant, either by personal service or by mail addressed to the defendant. The clerk must promptly send a copy of the notice of appeal and of the docket entries—and any later docket entries—to the clerk of the court of appeals named in the notice. The district clerk must note, on each copy, the date when the notice of appeal was filed.

(2) If an inmate confined in an institution files a notice of appeal in the manner provided by Rule 4(c), the district clerk must also note the date when the clerk docketed the notice.

(3) The district clerk's failure to serve notice does not affect the validity of the appeal. The clerk must note on the docket the names of the parties to whom the clerk mails copies, with the date of mailing. Service is sufficient despite the death of a party or the party's counsel.

(e) **Payment of Fees.** Upon filing a notice of appeal, the appellant must pay the district clerk all required fees. The district clerk receives the appellate docket fee on behalf of the court of appeals.

Rule 4 provides:

Appeal as of Right—When Taken

(a) **Appeal in a Civil Case.**

(1) *Time for Filing a Notice of Appeal.*

(A) In a civil case, except as provided in Rules 4(a)(1)(B), 4(a)(4), and 4(c), the notice of appeal required by Rule 3 must be filed with the district clerk within 30 days after the judgment or order appealed from is entered.

(B) When the United States or its officer or agency is a party, the notice of appeal may be filed by any party within 60 days after the judgment or order appealed from is entered.

(2) *Filing Before Entry of Judgment.* A notice of appeal filed after the court announces a decision or order—but before the entry of the judgment or order—is treated as filed on the date of and after the entry.

(3) *Multiple Appeals.* If one party timely files a notice of appeal, any other party may file a notice of appeal within 14 days after the date when the first notice was filed, or within the time otherwise prescribed by this Rule 4(a), whichever period ends later.

(4) *Effect of a Motion on a Notice of Appeal.*

(A) If a party timely files in the district court any of the following motions under the Federal Rules of Civil Procedure, the time to file an appeal runs for all parties from the entry of the order disposing of the last such remaining motion:

(i) for judgment under Rule 50(b);

(ii) to amend or make additional factual findings under Rule 52(b), whether or not granting the motion would alter the judgment;

(iii) for attorney's fees under Rule 54 if the district court extends the time to appeal under Rule 58;

(iv) to alter or amend the judgment under Rule 59;

(v) for a new trial under Rule 59; or

(vi) for relief under Rule 60 if the motion is filed no later than 10 days (computed using Federal Rule of Civil Procedure 6(a)) after the judgment is entered.

(B)(i) If a party files a notice of appeal after the court announces or enters a judgment—but before it disposes of any motion listed in Rule 4(a)(4)(A)—the notice becomes effective to appeal a judgment or order, in whole or in part, when the order disposing of the last such remaining motion is entered.

(ii) A party intending to challenge an order disposing of any motion listed in Rule 4(a)(4)(A), or a judgment altered or amended upon such a motion, must file a notice of appeal, or an amended notice of appeal—in compliance with Rule 3(c)—within the time prescribed by this Rule measured from the entry of the order disposing of the last such remaining motion.

(iii) No additional fee is required to file an amended notice.

(5) *Motion for Extension of Time.*

(A) The district court may extend the time to file a notice of appeal if:

(i) a party so moves no later than 30 days after the time prescribed by this Rule 4(a) expires; and

(ii) that party shows excusable neglect or good cause.

(B) A motion filed before the expiration of the time prescribed in Rule 4(a)(1) or (3) may be ex parte unless the court requires otherwise. If the motion is filed after the expiration of the prescribed time, notice must be given to the other parties in accordance with local rules.

(C) No extension under this Rule 4(a)(5) may exceed 30 days after the prescribed time or 10 days after the date when the order granting the motion is entered, whichever is later.

(6) *Reopening the Time to File an Appeal.* The district court may reopen the time to file an appeal for a period of 14 days after the date when its order to reopen is entered, but only if all the following conditions are satisfied:

(A) the motion is filed within 180 days after the judgment or order is entered or within 7 days after the moving party receives notice of the entry, whichever is earlier;

(B) the court finds that the moving party was entitled to notice of the entry of the judgment or order sought to be appealed but did not receive the notice from the district court or any party within 21 days after entry; and

(C) the court finds that no party would be prejudiced.

(7) *Entry Defined.* A judgment or order is entered for purposes of this Rule 4(a) when it is entered in compliance with Rules 58 and 79(a) of the Federal Rules of Civil Procedure.

* * * *

(d) **Mistaken Filing in the Court of Appeals.** If a notice of appeal in either a civil or a criminal case is mistakenly filed in the court of appeals, the clerk of that court must note on the notice the date when it was received and send it to the district clerk. The notice is then considered filed in the district court on the date so noted.

FEDERAL EQUITY RULES

Rule 94, 104 U.S. ix (1882), provided:

> Every bill brought by one or more stockholders in a corporation, against the corporation and other parties, founded on rights which may properly be asserted by the corporation, must be verified by oath, and must contain an allegation that the plaintiff was a shareholder at the time of the transaction of which he complains, or that his share had devolved on him since by operation of law; and that the suit is not a collusive one to confer on a court of the United States jurisdiction of a case of which it would not otherwise have cognizance. It must also set forth with particularity the efforts of the plaintiff to secure such action as he desires on the part of the managing directors or trustees, and, if necessary, of the shareholders, and the causes of his failure to obtain such action.

Rule 27, 226 U.S. 656 (1912), provided:

> Every bill brought by one or more stockholders in a corporation against the corporation and other parties, founded on rights which may properly be asserted by the corporation, must be verified by oath, and must contain an allegation that the plaintiff was a shareholder at the time of the transaction of which he complains, or that his share had devolved on him since by operation of law, and that the suit is not a collusive one to confer on a court of the United States jurisdiction of a case of which it would not otherwise have cognizance. It must also set forth with particularity the efforts of the plaintiff to secure such action as he desires on the part of the managing directors or trustees, and, if necessary, of the

shareholders, and the causes of his failure to obtain such action, or the reasons for not making such effort.

Rule 37, 226 U.S. 659 (1912), provided:

PARTIES GENERALLY—INTERVENTION.

Every action shall be prosecuted in the name of the real party in interest, but an executor, administrator, guardian, trustee of an express trust, a party with whom or in whose name a contract has been made for the benefit of another, or a party expressly authorized by statute, may sue in his own name without joining with him the party for whose benefit the action is brought. All persons having an interest in the subject of the action and in obtaining the relief demanded may join as plaintiffs, and any person may be made a defendant who has or claims an interest adverse to the plaintiff. Any person may at any time be made a party if his presence is necessary or proper to a complete determination of the cause. Persons having a united interest must be joined on the same side as plaintiffs or defendants, but when anyone refuses to join, he may for such reason be made a defendant.

Anyone claiming an interest in the litigation may at any time be permitted to assert his right by intervention, but the intervention shall be in subordination to, and in recognition of, the propriety of the main proceeding.

Rule 38, 226 U.S. 659 (1912), provided:

REPRESENTATIVES OF CLASS.

When the question is one of common or general interest to many persons constituting a class so numerous as to make it impracticable to bring them all before the court, one or more may sue or defend for the whole.

Rule 39, 226 U.S. 659 (1912), provided:

ABSENCE OF PERSONS WHO WOULD BE PROPER PARTIES.

In all cases where it shall appear to the court that persons, who might otherwise be deemed proper parties to the suit, cannot be made parties by reason of their being out of the jurisdiction of the court, or incapable otherwise of being made parties, or because their joinder would oust the jurisdiction of the court as to the parties before the court, the court may, in its discretion, proceed in the cause without making such persons parties; and in such cases the decree shall be without prejudice to the rights of the absent parties.